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IDEA

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metal&ROCK | Europe

Scenarios for US Copper Tariffs

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A decision on US refined copper import tariffs is due sometime in 2H26. Advanced notice of tariff implementation would be the most bullish scenario for 2H26, while ruling out tariffs would be the most bearish, removing the ~2.5% of global copper going to the US for stockpiling.

Key Takeaways

- We expect a decision sometime after 30th June, once President Trump has received an update on domestic markets from the Secretary of Commerce.
- Most bullish = Advanced notice of a 15% tariff from Jan 2027, driving COMEX and LME copper higher and tightening LME spreads. Less notice would be less bullish.
- Most bearish = Refined copper tariffs are ruled out completely, putting the 2.5% of copper supply currently going to the US for stockpiling at risk.
- Status quo = Decision is delayed, with not enough evidence to make a decision for now.

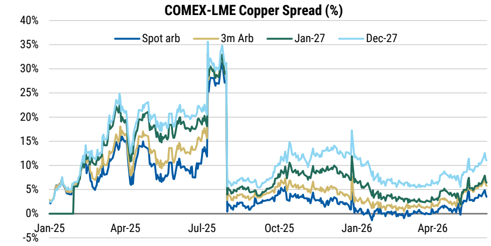
What is the upcoming decision? The US is due to decide whether to put in place a 15% refined copper import tariff from 1 Jan 2027, potentially escalating to 30% in 2028. A 50% import tariff is already in place for aluminium, steel and most imports of semi-finished copper products and copper derivative products. The 1 June White House fact sheet highlighted recent developments in steel, aluminium and copper output in the US, noting "this buildout [...] is only possible through the continued implementation and strengthening of the President's Section 232 tariff programs."

Why does it matter? The COMEX copper price is a US-delivered benchmark and therefore should reflect any customs duties, meaning it could trade ~15% higher than the LME benchmark if tariffs are announced. It is already trading ~6% higher than the LME benchmark, incentivising market participants to ship copper to the US ahead of potential implementation. We estimate YTD over-importing at 260 kt, or 2.6% of global demand when annualised. The US now holds over a year of "normal" refined copper imports in inventory, we estimate. Whether or not this overimporting continues will be meaningful for copper prices and the supply demand balance.

When will the tariff decision be announced? A report is due to President Trump from the Secretary of Commerce by 30th June (based on this proclamation) or 1st July (90 days from this proclamation), providing "an update on domestic copper markets [...] so that the President may determine whether imposing a phased universal import duty on refined copper [...] is warranted to ensure that copper imports do not continue to threaten to impair the national security." In our view, this means an update from the Trump administration should come sometime in 2H26, but is unlikely to come on 30th June/1st July directly.

For discussion of outcomes, see inside…

Exhibit 1 : Using forward curve differentials, the copper market is pricing 43% chance of a 15% tariff in place by Jan 2027 and 73% by Dec 2027



Source: Bloomberg

Continued.

What could the outcomes be and what do they mean for copper prices?

1) Tariffs are announced: **Bullish:** We assume the decision is purely on whether or not to implement a 15% tariff from 1 Jan 2027, and will not consider another tariff level or a different implementation date. If advanced notice is given, e.g. a July announcement for January implementation, this would accelerate copper flows into the US, tightening ex-US markets and driving both COMEX and LME copper prices higher (all else equal). We would expect LME time spreads to tighten and the forward curve to move into backwardation at the front of the market, and COMEX to move towards a 15% premium to LME. If the tariff is only announced closer to the implementation date, or the implementation date is brought forward, there would be less time to front-load shipments which would be a less bullish outcome.

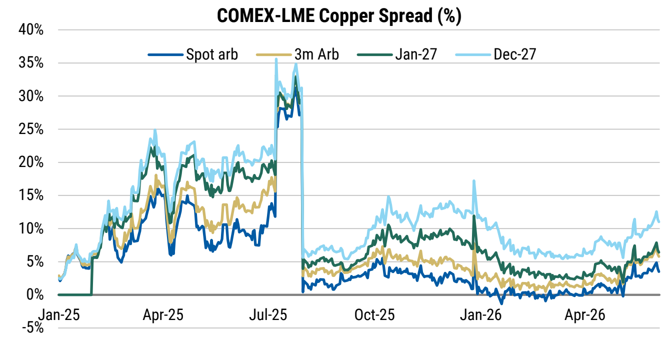
2) Tariffs are ruled out: Bearish: If the US rules out introducing refined copper tariffs, this extra US importing (~2.6% of demand) would likely cease, weighing on both benchmarks. COMEX copper would fall to parity with, or even slightly below, LME copper and the LME forward curve would loosen as more metal is available. Both benchmarks would likely fall in absolute terms as this US stockpiling demand ceases. However, we view US copper exports as unlikely given metal could just be moved from COMEX to LME warehouses *within* the US if COMEX traded below LME. Further, we see support around the $12,000 level given the sector ongoing structural supply issues and expected deficits.

3) Decision is rolled forward: **Neutral?** The decision could also be rolled over to a future date, keeping the option of tariffs on the table but not necessarily for 1 Jan 2027. This would be more of a continuation of the status quo but could be modestly negative for copper prices if market participants see it as a signal that tariffs are less likely.

What happens in 2027 if a tariff is in place? If a 15% tariff is implemented, we would expect the COMEX-LME copper spread to reflect that tariff level, implying room for some COMEX outperformance versus LME. However, we would expect a drop in the over-importing from the US given the financial incentive to ship excess metal will be removed once tariffs need to be paid. If the tariff is expected to escalate to 30% in 2028, import volumes could stay slightly higher than normal but the US already has >1 year of import cover on our estimates. We would also then expect the COMEX-LME spread to rise to somewhere between 15% and 30%.

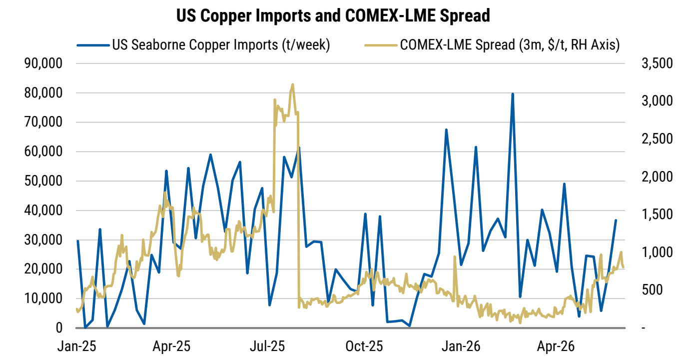
MS outlook: We noted in Copper: Fundamentals Improving? that the outlook for copper is supported by tightening supply, strong demand from China and US import demand for stockpiling. The upcoming US tariff decision is therefore key risk event, with the potential to accelerate, or halt, the excess US copper imports. At the moment, the market is pricing around a 43% chance of a 15% tariff being in place by Jan 2027. It is difficult to take a strong call on the decision timing and outcome but it remains a key risk to be aware of. Macro factors matter too, as shown by the negative reaction in copper prices to increased expectations for a Fed rate hike in 2026, with COMEX copper tending to outperform on risk-on days, but underperform on risk-off days. COMEX net long positioning is already at an all-time high.

Exhibit 2: The COMEX-LME spread has been rising



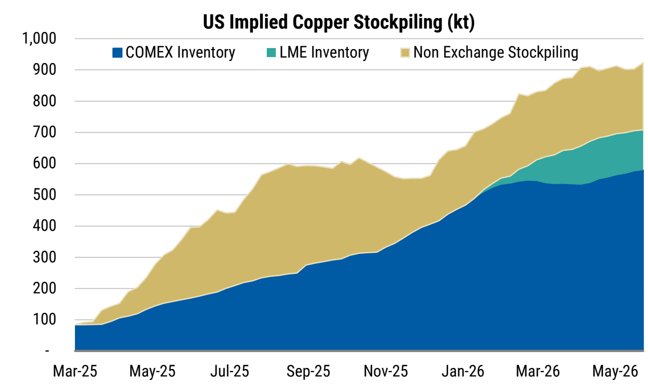
Source: Bloomberg

Exhibit 3: Seaborne copper imports remain above the estimate 15-20kt/week that the US needs



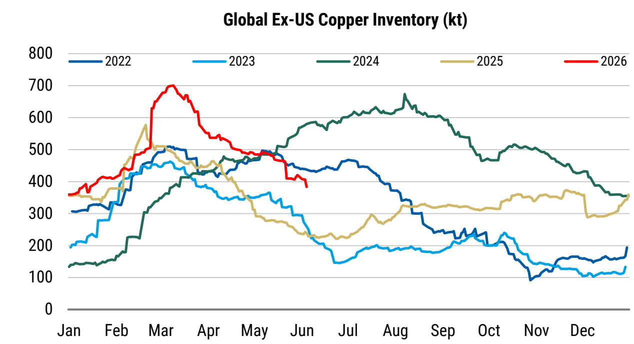
Source: Bloomberg

Exhibit 4: US inventories are now covering >1 year of refined imports



Source: Bloomberg, Morgan Stanley Research

Exhibit 5: Ex-US LME inventories have been tightening in China and on the LME

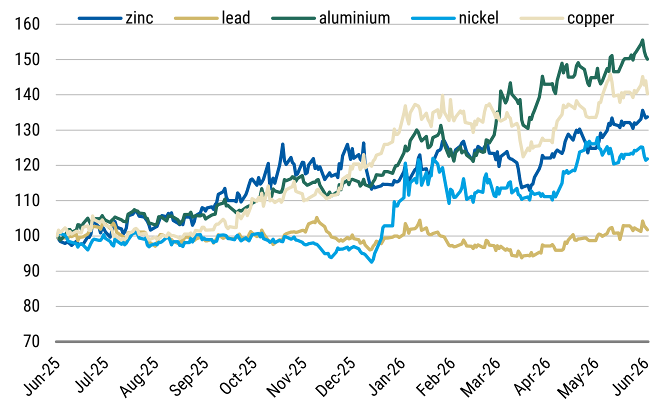


Source: Bloomberg

Week in Review

Base Metals: Base metals are on track to end the week lower with the exception of zinc. Macro factors weighed on the complex with the DXY up 0.9% and the market now pricing in 1 US rate hike by year end after stronger non-farm payrolls data. The biggest drop comes in nickel with Platts reporting that HPAL producers are sourcing sulphur elsewhere. Copper is down 0.4% but LME and COMEX are down 3.3% and 5.3% from their Tuesday highs on growing demand worries. Aluminium fell 1.8%, likely dragged lower by other metals.

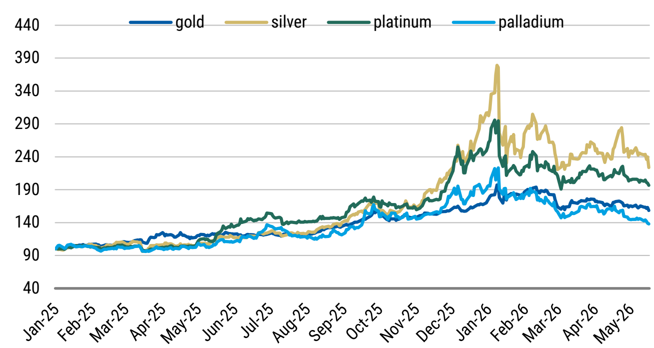
Exhibit 6: Base metals price indices (12-month rolling)



Source: Bloomberg, Morgan Stanley Research

Precious Metals: Precious metals weakened sharply this week, with most of the drop on Friday after US employment data boosted rate hike expectations. Gold was trading below its 200 day moving average at the time of writing. India said reports that the RBI was selling gold was incorrect. Silver saw the largest drop, down 8.3% to below $70/oz for the first time since March but remains below its 200dma for now.

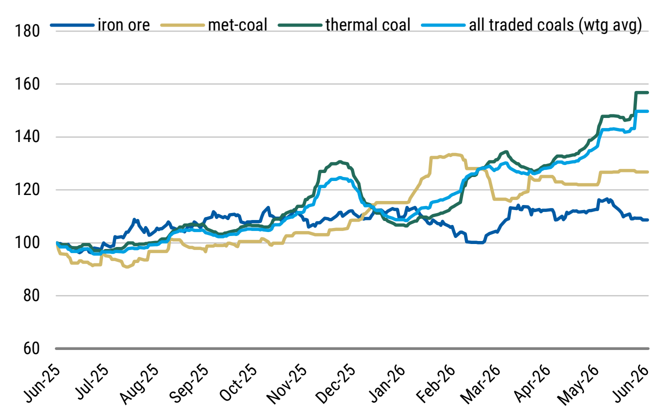
Exhibit 7: Precious metals indices (12-month rolling)



Source: Bloomberg, Morgan Stanley Research

Bulks: Iron ore dropped 3.6% WoW this week to $101.5/t as hot weather in Asia weighs on construction activity earlier than normal. Met coal was up 1.7% WoW but with stronger price action in China as mine accidents have prompted mine inspections and closures. Thermal coal rose 7.5%, also supported by mine inspections as well as strong demand for cooling in Asia. Indonesia has also issued regulation that palm oil, coal, and ferroalloys can only be exported by a state-owned enterprise.

Exhibit 8: Bulk commodity price indices (12-month rolling)



Source: Platts, Bloomberg, Morgan Stanley Research

Morgan Stanley Price Forecasts

Exhibit 9: Summary of Morgan Stanley's commodity price forecasts (set on 8 April 2026)

commodity group	unit	1Q 26a	2Q 26e	3Q 26e	4Q 26e	1Q 27e	2Q 27e	3Q 27e	4Q 27e	2025e	2026e	2027e	2028e	2029e	2030e	2031e	LT real	LT nom.
Base Metals																		
LME Aluminium	US$/lb	1.45	1.54	1.56	1.59	1.54	1.47	1.45	1.45	1.20	1.54	1.48	1.43	1.45	1.45	1.36	1.13	1.30
	US$/t	3,195	3,400	3,450	3,500	3,400	3,250	3,200	3,200	2,638	3,386	3,263	3,150	3,200	3,200	3,000	2,500	2,871
LME Copper	US$/lb	5.81	5.15	5.44	5.90	5.90	5.90	5.22	5.22	4.56	5.58	5.56	5.22	5.22	5.22	5.22	4.40	5.05
	US$/t	12,818	11,350	12,000	13,000	13,000	13,000	11,500	11,500	10,053	12,292	12,250	11,500	11,500	11,500	11,500	9,700	11,141
COMEX Copper	US$/lb	5.83	5.17	5.50	6.01	6.01	6.01	5.32	5.32	4.85	5.63	5.67	5.32	5.32	5.32	5.32	4.49	5.15
	US$/t	12,852	11,407	12,120	13,260	13,260	13,260	11,730	11,730	10,691	12,410	12,495	11,730	11,730	11,730	11,730	9,894	11,364
LME Nickel	US$/lb	7.86	7.26	7.71	7.48	7.48	7.48	7.48	7.48	6.94	7.58	7.48	7.48	7.71	8.16	8.16	7.44	8.54
	US$/t	17,325	16,000	17,000	16,500	16,500	16,500	16,500	16,500	15,294	16,706	16,500	16,500	17,000	18,000	18,000	16,400	18,836
LME Zinc	US$/lb	1.47	1.29	1.32	1.41	1.36	1.32	1.32	1.32	1.31	1.37	1.33	1.32	1.32	1.36	1.36	1.27	1.46
	US$/t	3,235	2,850	2,900	3,100	3,000	2,900	2,900	2,900	2,879	3,021	2,925	2,900	2,900	3,000	3,000	2,801	3,217
LME Lead	US$/lb	0.88	0.79	0.82	0.93	0.95	0.95	0.95	0.95	0.90	0.85	0.95	1.00	1.01	1.13	1.13	1.02	1.17
	US$/t	1,930	1,750	1,800	2,050	2,100	2,100	2,100	2,100	1,978	1,883	2,100	2,200	2,238	2,500	2,500	2,250	2,584
Precious Metals																		
Gold	US$/oz	4,865	4,400	5,200	5,200	5,000	5,000	5,000	4,800	3,469	4,916	4,950	4,500	4,000	4,000	4,000	2,500	2,871
Silver	US$/oz	83.7	62.9	74.3	74.3	71.4	71.4	71.4	68.6	40.5	73.8	70.7	64.3	57.1	57.1	57.1	31.3	35.9
Platinum	US$/oz	2,215	1,850	1,950	1,962	1,974	1,987	1,999	2,012	1,291	1,994	1,993	2,043	2,095	2,148	2,202	1,940	2,228
Palladium	US$/oz	1,723	1,400	1,400	1,409	1,418	1,426	1,435	1,444	1,160	1,483	1,431	1,312	1,345	1,379	1,414	1,250	1,436
Bulks																		
Iron Ore (fines 61% Fe, cfr N.China)	US$/t	104	105	98	95	95	95	95	100	102	100	96	98	100	100	100	90	103
Hard Coking Coal (spot, fob Aus)	US$/t	235	225	240	225	225	225	225	230	188	231	226	214	215	215	215	191	219
Thermal coal (spot, fob Newc)	US$/t	123	170	160	150	140	140	140	130	107	151	138	125	130	135	135	120	138
Other																		
Manganese ore (44%)	US$/mtu	5.2	5.6	5.6	5.4	5.4	5.5	5.5	5.5	4.6	5.4	5.5	5.6	5.7	5.8	5.8	5.2	6.0
Alumina (spot, fob Aus)	US$/t	307	310	310	320	320	325	325	325	362	312	324	350	350	380	400	380	436
Lithium carbonate (spot China, ex-VAT)	US$/t	19,360	23,500	25,500	23,000	20,000	20,000	18,000	18,000	9,300	22,840	19,000	16,000	14,000	15,000	16,000	14,800	16,998
Cobalt	US$/lb	25.9	27.0	27.0	27.0	27.0	27.0	27.0	27.0	17.5	26.7	27.0	17.5	15.0	15.0	17.5	14.0	16.1
Uranium - spot	US$/lb	88.5	90.0	95.0	100.0	105.0	100.0	90.0	80.0	73.5	93.4	93.8	70.0	70.0	70.0	70.0	61.0	70.1
Exchange Rates																		
1 AUD = USD		0.70	0.70	0.70	0.70	0.70	0.70	0.70	0.70	0.65	0.70	0.70	0.70	0.70	0.69	0.69	0.71	0.70
1 USD = BRL		5.26	5.40	5.50	5.20	5.20	5.20	5.30	5.30	5.72	5.34	5.25	5.30	5.87	5.98	6.08	5.65	6.71
1 USD = CAD		1.37	1.37	1.36	1.36	1.36	1.36	1.36	1.37	1.40	1.37	1.36	1.28	1.28	1.28	1.28	1.29	1.29
1 USD = ZAR		16.34	17.00	16.50	16.62	16.75	16.87	17.00	17.13	17.82	16.62	16.94	17.45	17.98	18.53	19.09	17.00	22.21
1 EUR = USD		1.17	1.17	1.17	1.18	1.18	1.18	1.18	1.19	1.14	1.17	1.18	1.19	1.20	1.21	1.23	1.27	1.23
1 USD = CNY		6.93	6.95	7.00	7.05	7.03	7.00	6.98	6.95	7.18	6.98	6.99	7.15	7.12	7.01	6.89	7.90	6.95

Source: LME, Bloomberg, Platts, Morgan Stanley Research estimates (e). Note: Exchange rate forecasts are the assumptions that are compiled and used by Global Resources Equity Team: all prices are nominal, unless otherwise indicated.

Commodity Thermometer

Exhibit 10: Metals & Mining Commodity Thermometer

Commodity	Bearish	Neutral	Bullish	Thesis
Lithium carbonate				Zimbabwe export ban drives meaningful near-term tightness while continued strength in ESS deployment and an accelerated rotation to energy-transition sectors post conflict should support lithium demand.
Thermal coal				Thermal coal has rallied on energy market tightness, and we see further upside in higher-CV grades, as gas-to-coal switching in North Asia lifts power sector demand into summer. More limited gains for low-CV grades on Indonesian spare capacity.
Uranium				Energy market tightness is driving uranium upside, with rising term prices and contracting activity, improving nuclear sentiment and limited mine supply growth supporting the market.
Gold				Gold's liquidity has contributed to recent weakness, but with Fed rate cuts viewed as more likely than hikes this year, we see upside for gold through 2H26. Conflict resolution would likely also be supportive.
Aluminium				The market is continuing to tighten as Middle East production cuts drive meaningful, long-lasting supply disruption. With capacity constrained elsewhere and demand holding up, we see further upside for aluminium through 2026.
Platinum				Platinum is likely to continue tracking gold with a modest underlying deficit providing support, though downside risks to auto and jewellery demand may limit further upside.
Cobalt				Cobalt remains supported by DRC export restrictions, while potential impacts on Indonesian supply from sulphur shortages add modest upside.
Palladium				Palladium is moving towards balance as supply constraints are offset by weakening autos demand.
Hard Coking Coal				Met coal is likely to remain range bound in 2026, with cost-driven support from higher fuel and freight prices offset by weaker Chinese seaborne demand and growing supply.
Silver				Silver is likely to remain volatile in 2026, with industrial demand risks and ETF selling combined with tight inventories and resilient Chinese demand.
COMEX Copper				COMEX copper remains resilient on continued US stockpiling demand, while a supportive tariff decision in July may provide further upside.
Nickel				Policy uncertainty in Indonesia and forecast surpluses cap potential upside from sulphur-related supply disruptions and potential for stronger-than-expected demand from energy-transition sectors post conflict.
Alumina				Alumina faces pressure from reduced smelting demand and rising seaborne supply, though Guinea export restrictions could limit downside.
Manganese Ore				Manganese ore is seeing cost support from higher freight and diesel prices, however weakening fundamentals add downward pressure and limit upside.
LME Copper				Copper faces near-term growth risks related to an ongoing Middle East conflict, but with Chinese demand seen to be improving and growing focus on strategic stockpiling, structural drivers remain supportive of a rebound in the medium term.
Lead				Lead remains structurally challenged as ICE vehicle demand declines, though battery replacement and ESS provide some support.
Iron Ore				Iron ore is shifting to oversupply on stronger seaborne supply and softer Chinese demand, though cost curve pressures and Chinese import restrictions are likely to provide short-term support.
Zinc				Zinc fundamentals are softening as refined supply recovers, tipping the market into a surplus this year and weighing on prices.

Source: Morgan Stanley Research. Note: Order of preference based on 2Q/3Q26 forecasts vs last two weeks' average prices ending 6 April 2026.

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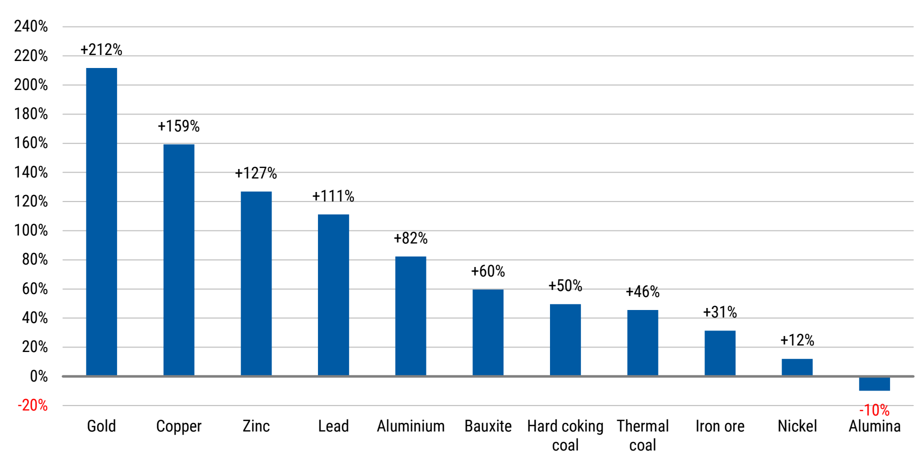
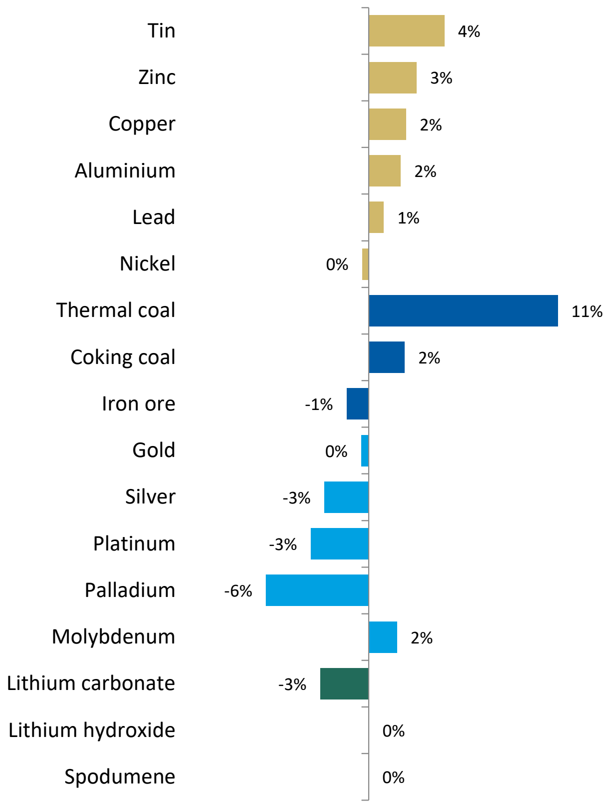
Exhibit 11: Spot commodity prices vs. the marginal cost of production



Source: Wood Mackenzie, Bloomberg, Morgan Stanley Research. Note: Marginal cost (year 2024); dataset Q1 2026; C1 cash costs.

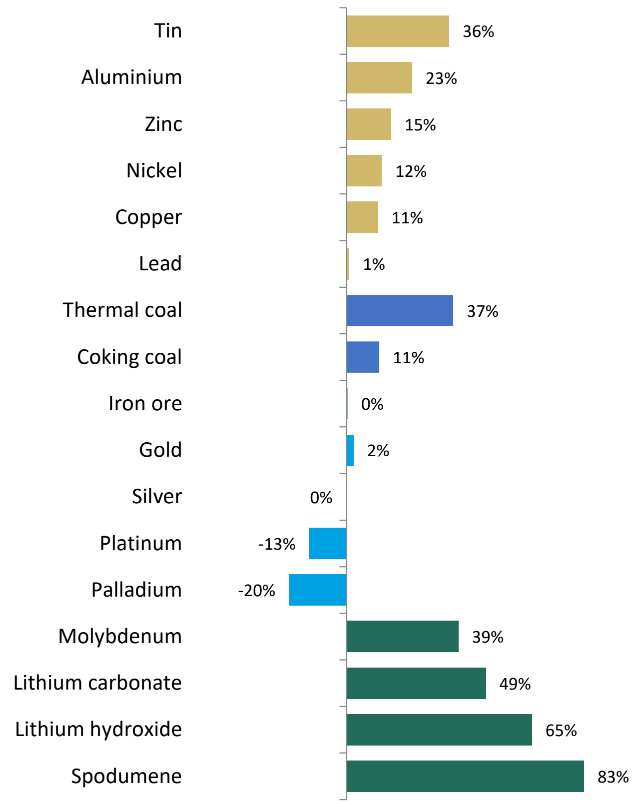
Commodity Price Snapshot

Exhibit 12: Key metals: one-week absolute performance



Source: Bloomberg, Morgan Stanley Research

Exhibit 13: Key metals: YTD absolute performance



Source: Bloomberg, Morgan Stanley Research

Exhibit 14: Precious Metals: Price Snapshot

Precious	04-Jun-26	28-May-26	WoW Change (%)	02-Jan-26	YtD (%)
Gold	4,475	4,495	-0.5%	4332.29	3.3%
Silver	74	76	-2.3%	72.8181	1.5%
Platinum	1,898	1,923	-1.3%	2142.88	-11.4%
Palladium	1,311	1,374	-4.6%	1636.36	-19.9%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

Exhibit 15: Bulks: price snapshot

Bulks	04-Jun-26	28-May-26	WoW Change (%)
Iron ore	101	105	-3.5%
Thermal coal	147	138	6.9%
Coking coal	249	243	2.5%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

Exhibit 16: Other Metals: price snapshot

Other metals	04-Jun-26	28-May-26	WoW Change (%)
Molybdenum	31	30	1.9%
Lithium carbonate	21,187	21,820	0
Lithium hydroxide	21,124	21,120	0
China Spodumene 6% min CIF	2,638	2,659	-1%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

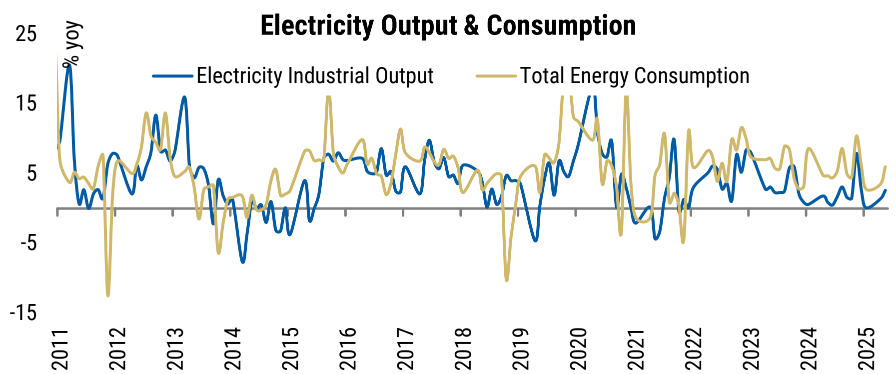
Exhibit 17: Exchange rate snapshot of major metal producing countries

Currency	03-Jun-26	27-May-26	WoW Change (%)
1 AUD = USD (Australian $)	0.7	0.7	0%
1 EUR = USD (Euro)	1.2	1.2	0%
1 USD = BRL (Brazilian Real)	5.1	5.1	0%
1 USD = CAD (Canadian $)	1.4	1.4	0%
1 USD = CLP (Chilean Peso)	895.7	894.7	0%
1 USD = CNY (Chinese Renmimbi)	6.8	6.8	0.0
1 USD = KZT (Kazakh Tenge)	487.6	479.5	2%
1 USD = MXN (Mexican Peso)	17.3	17.4	0%
1 USD = NOK (Norwegian Krone)	9.3	9.3	0%
1 USD = PEN (Peruvian New Sol)	3.4	3.4	0%
1 USD = SEK (Swedish Krona)	9.4	9.3	1%
1 USD = ZAR (S. African Rand)	16.4	16.4	0%
1 USD = ZMW (Zambian Kwacha)	17.8	18.6	-4%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

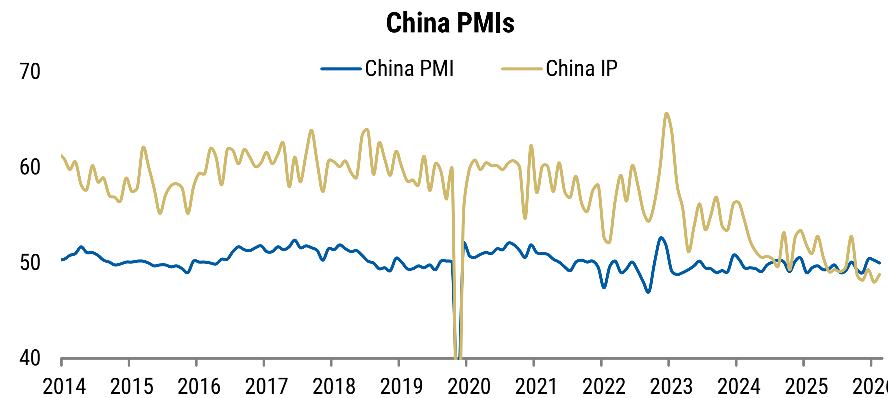
China's Macro Indicators

Exhibit 18: China's Electricity Output & Consumption



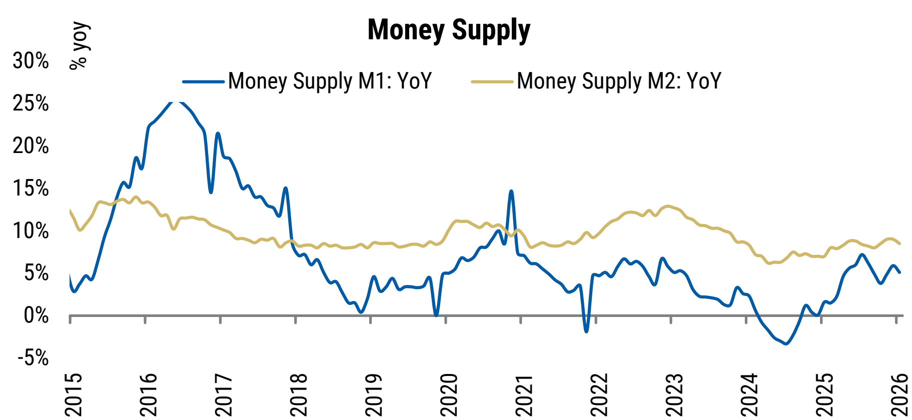
Source: CEIC, Morgan Stanley Research

Exhibit 19: China's Purchasing Managers Index and Industrial Production (IP)



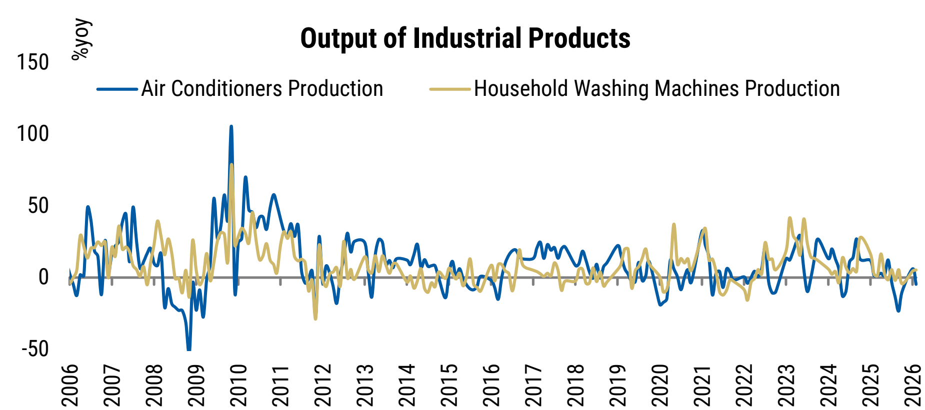
Source: CEIC, Morgan Stanley Research

Exhibit 20: China's Money Supply



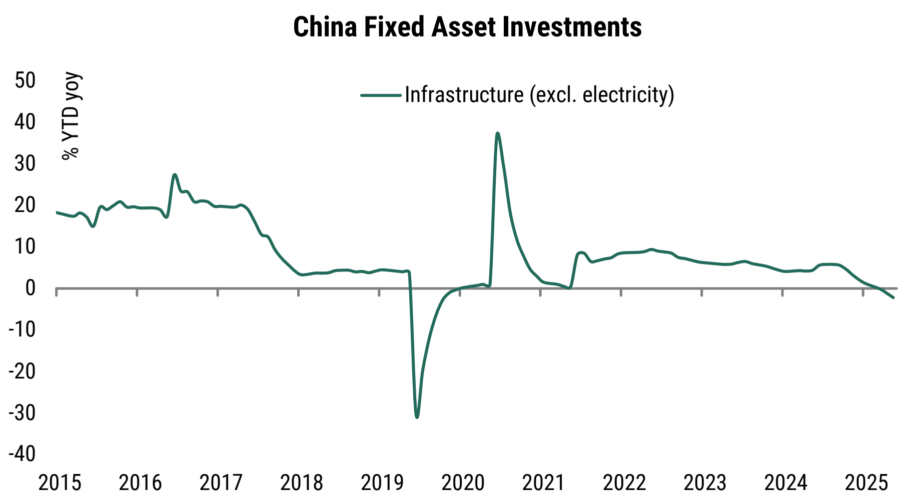
Source: CEIC, Morgan Stanley Research

Exhibit 21: China's Output of Industrial Products



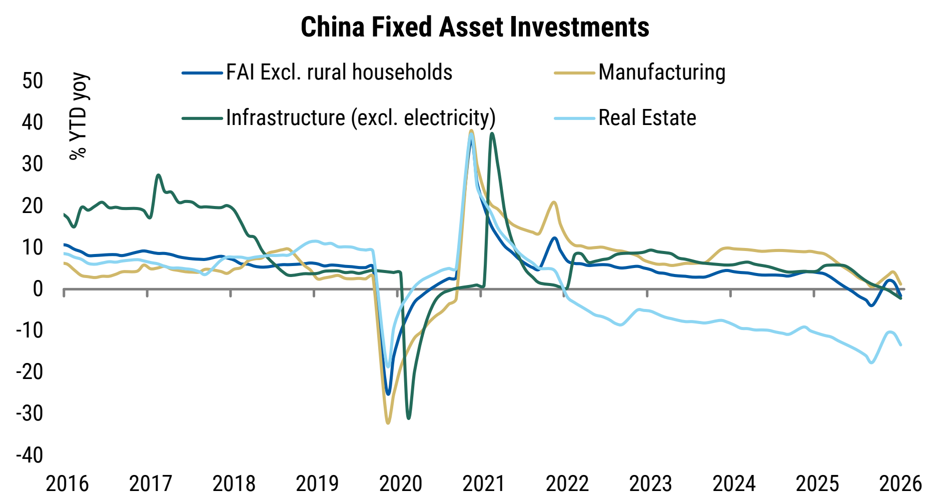
Source: CEIC, Morgan Stanley Research

Exhibit 22: China's Infrastructure Fixed Asset Investments (FAI)



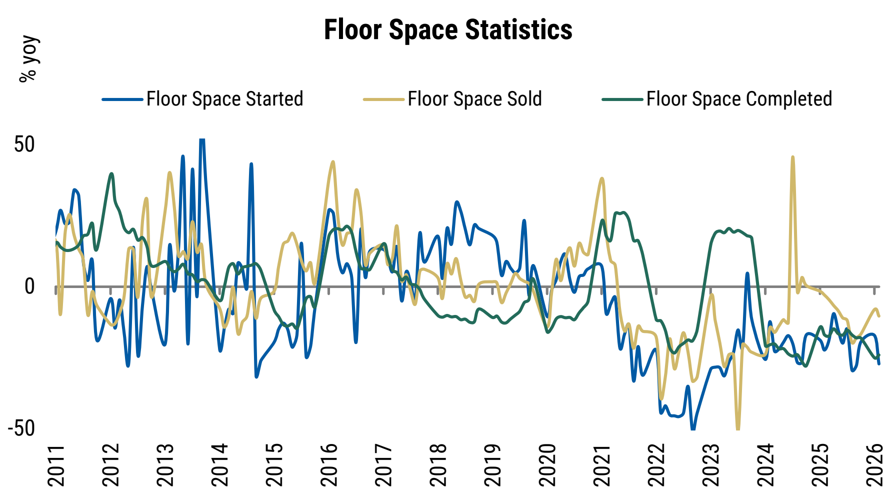
Source: CEIC, Morgan Stanley Research

Exhibit 23: China's Fixed Asset Investments



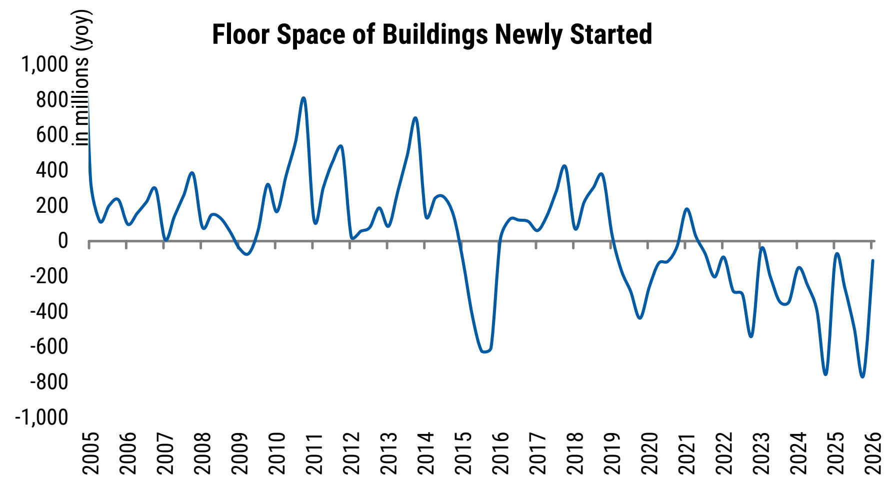
Source: CEIC, Morgan Stanley Research

Exhibit 24: China's Floor Space Started, Sold and Completed



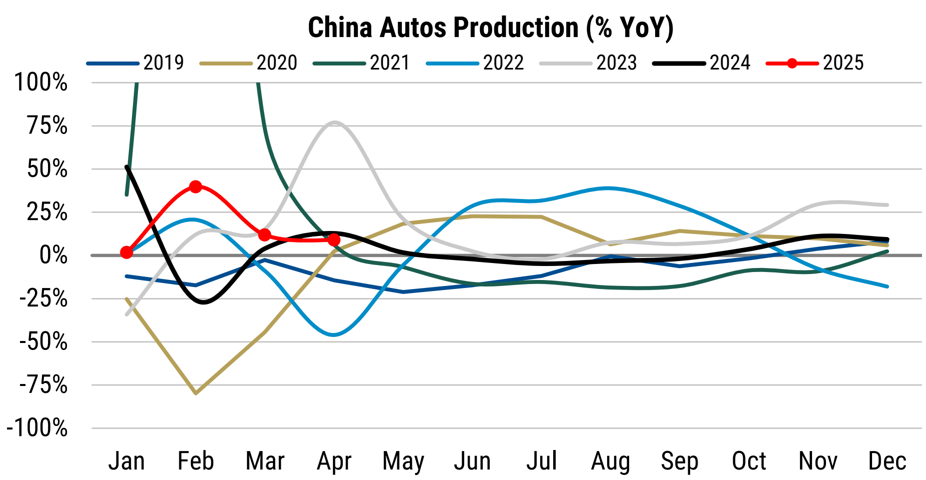
Source: CEIC, Morgan Stanley Research

Exhibit 25: Floor Space of Buildings Newly Started



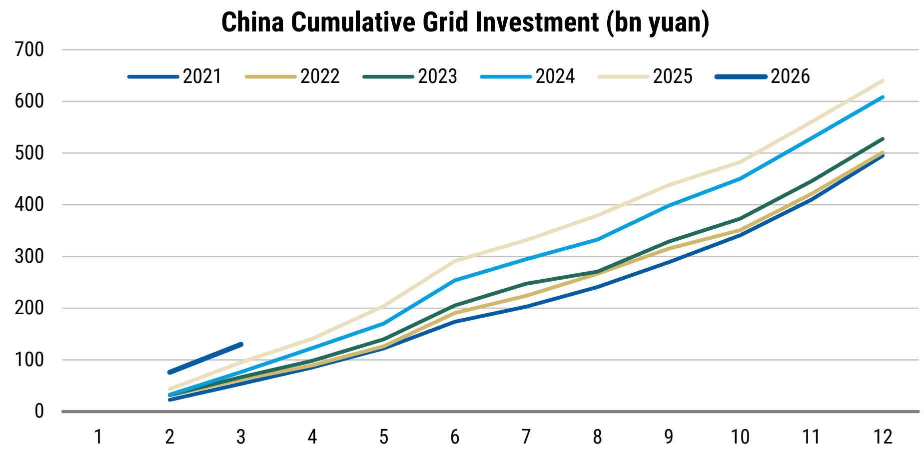
Source: CEIC, Morgan Stanley Research

Exhibit 26: China Autos Production



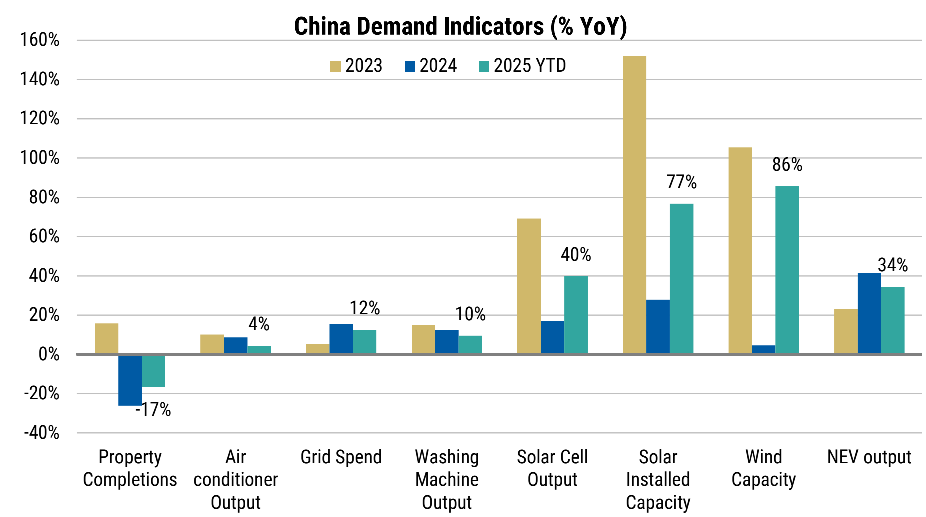
Source: CEIC, CAAM

Exhibit 27: China Cumulative Grid Investment



Source: Bloomberg

Exhibit 28: China Demand Indicators



Source: Bloomberg, CEIC

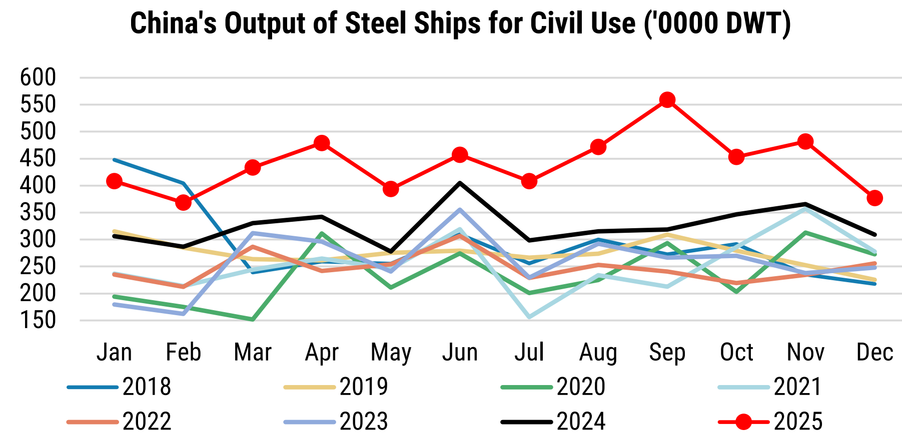
Exhibit 29: China Excavator Sales

Source: CEIC

Exhibit 30: China Railway FAI YTD

Source: CEIC

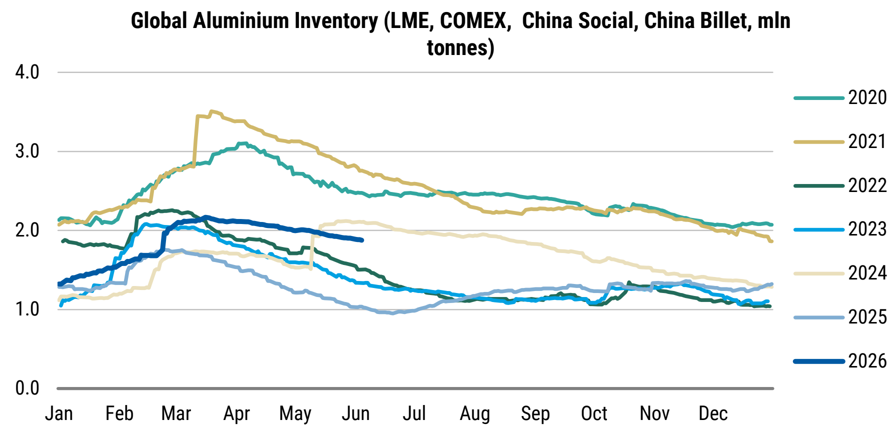
Exhibit 31: China Shipbuilding Output



Source: NBS

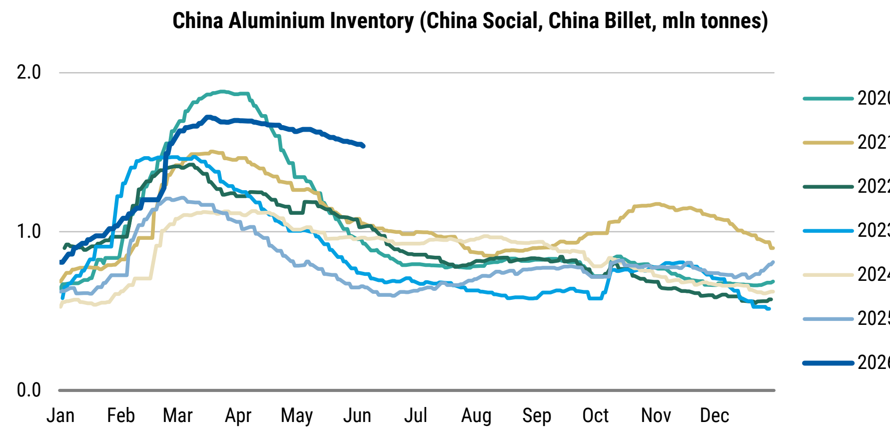
Aluminium

Exhibit 32: Global Aluminium Inventories



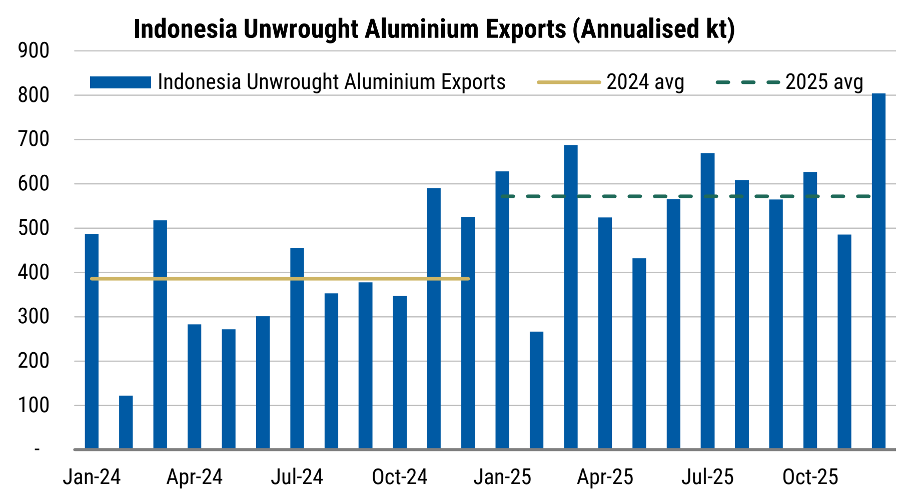
Source: Bloomberg

Exhibit 33: China Aluminium Inventories



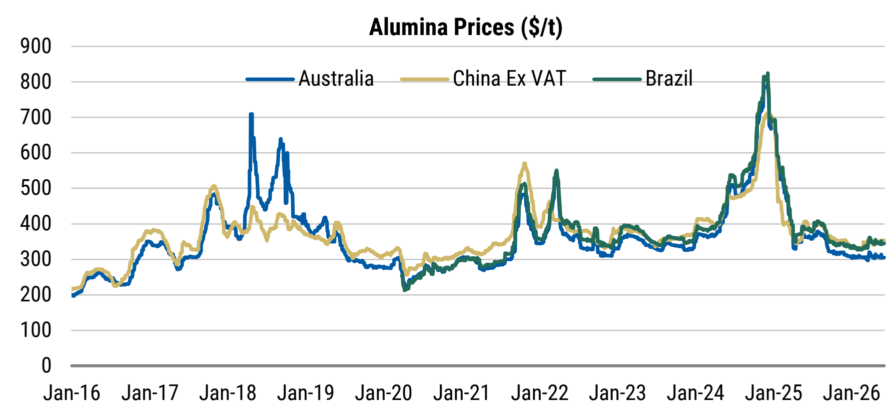
Source: Bloomberg

Exhibit 34: Indonesia Aluminium Exports



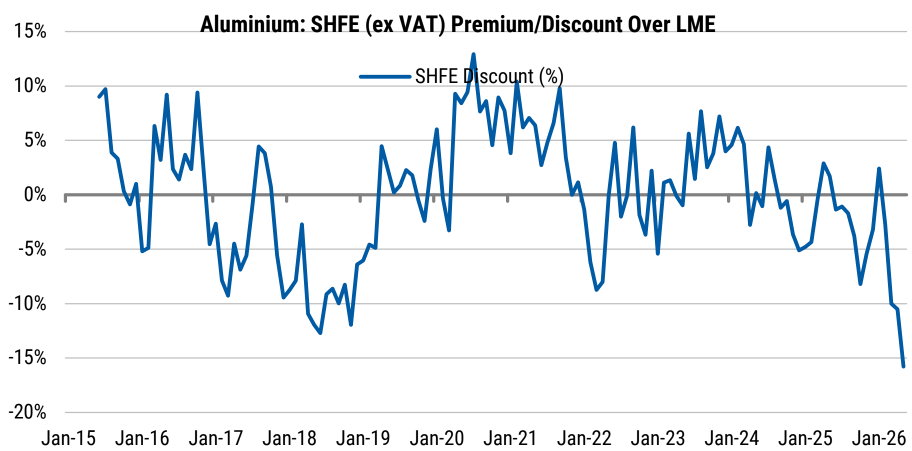
Source: Trademap

Exhibit 35: Raw Materials: Spot Alumina vs China Domestic Price



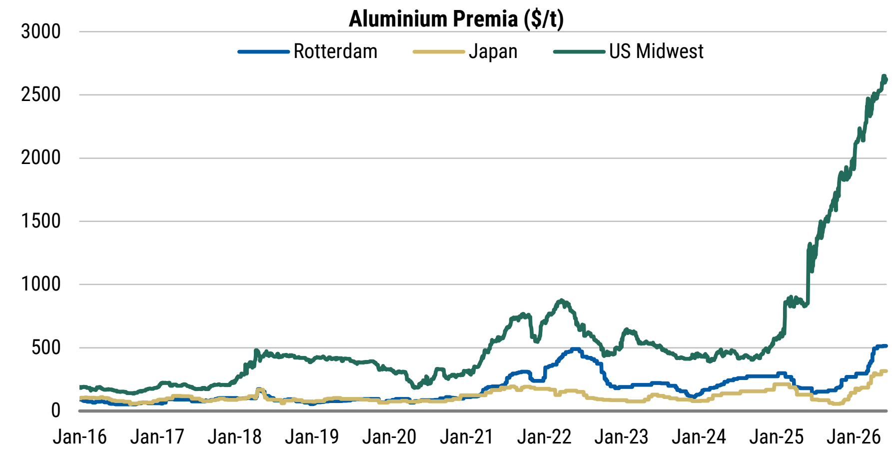
Source: Platts, Bloomberg

Exhibit 36: Price Differentials: SHFE vs LME



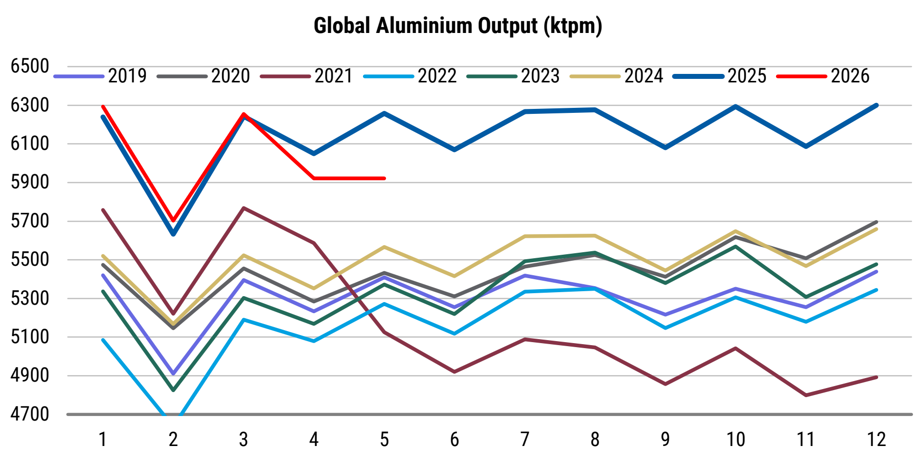
Source: Bloomberg

Exhibit 37: Physical demand: aluminium premia, by region



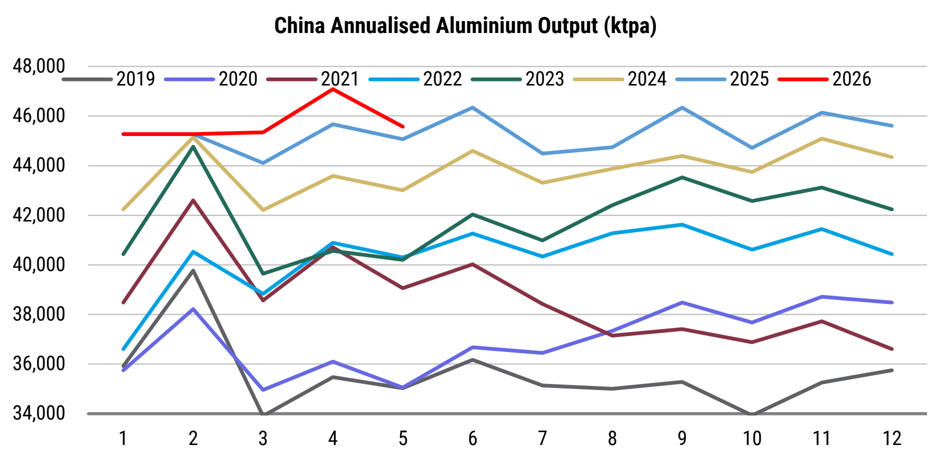
Source: Platts, Bloomberg

Exhibit 38: IAI Global Aluminium Production



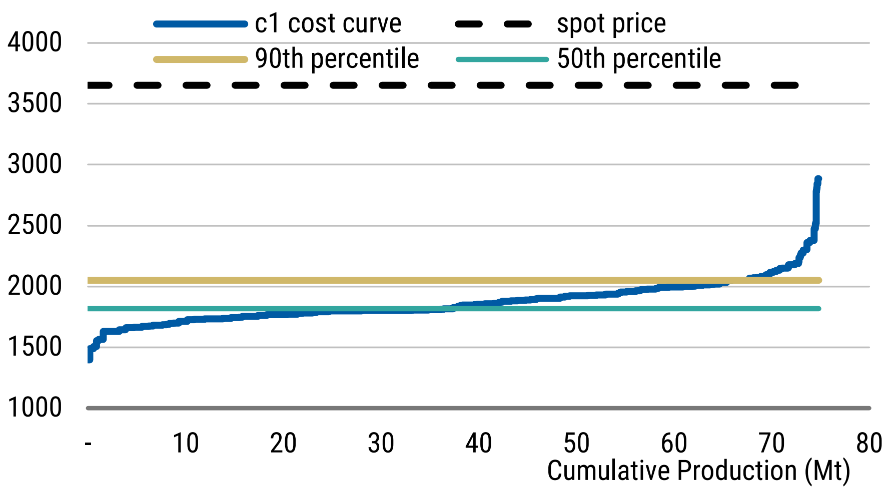
Source: IAI

Exhibit 39: China Aluminium Production



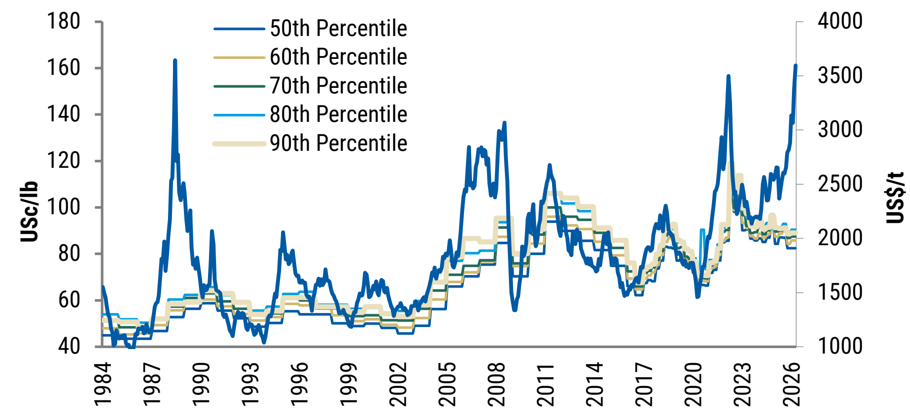
Source: Bloomberg

Exhibit 40: Aluminium C1 Cost Curve vs Spot ($/t)



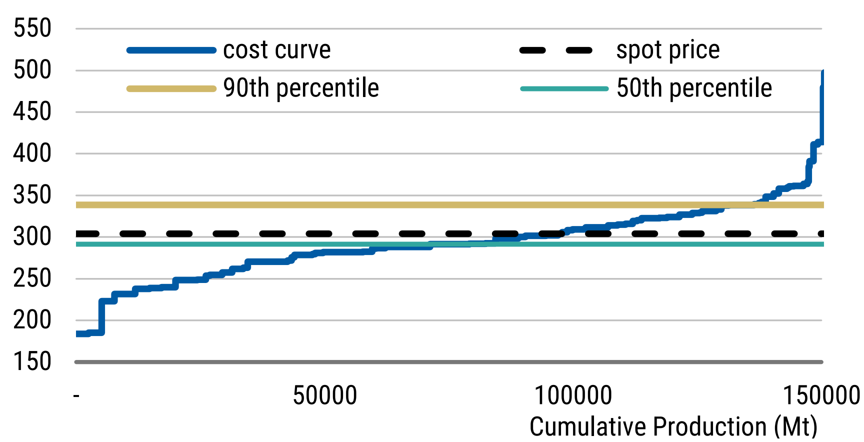
Source: Wood Mackenzie

Exhibit 41: Aluminium Cost Curve Evolution



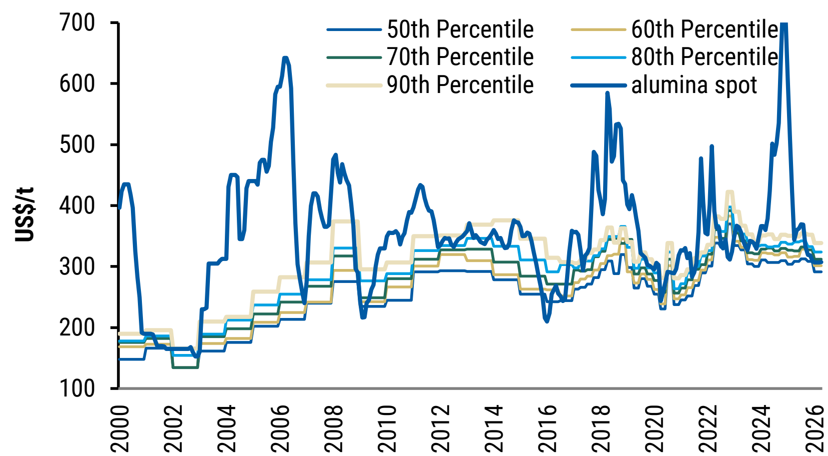
Source: Wood Mackenzie

Exhibit 42: Alumina Total Cost Curve vs Spot ($/t)



Source: Wood Mackenzie

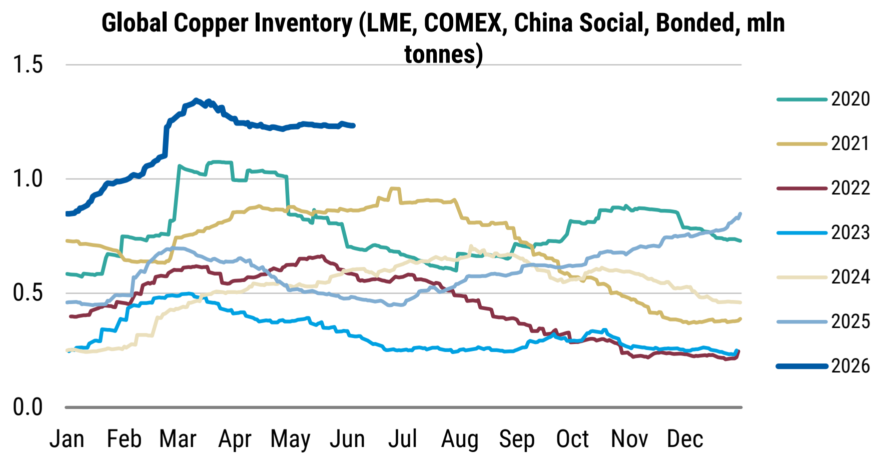
Exhibit 43: Alumina Cost Curve Evolution



Source: Wood Mackenzie

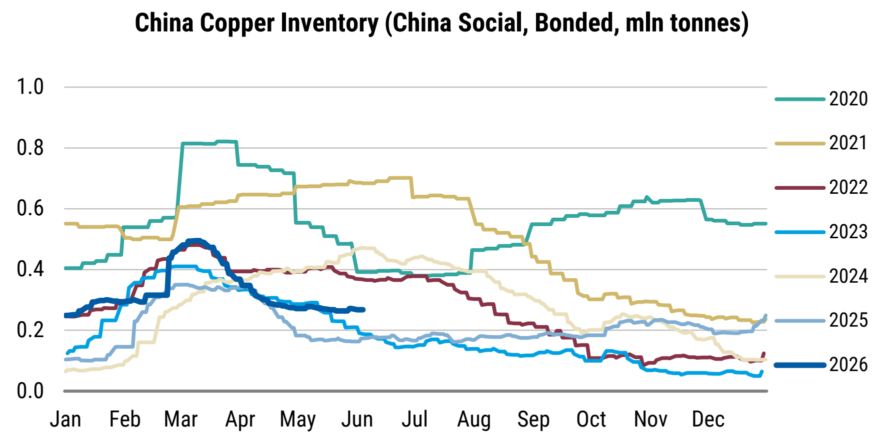
Copper

Exhibit 44: Global Copper Inventories



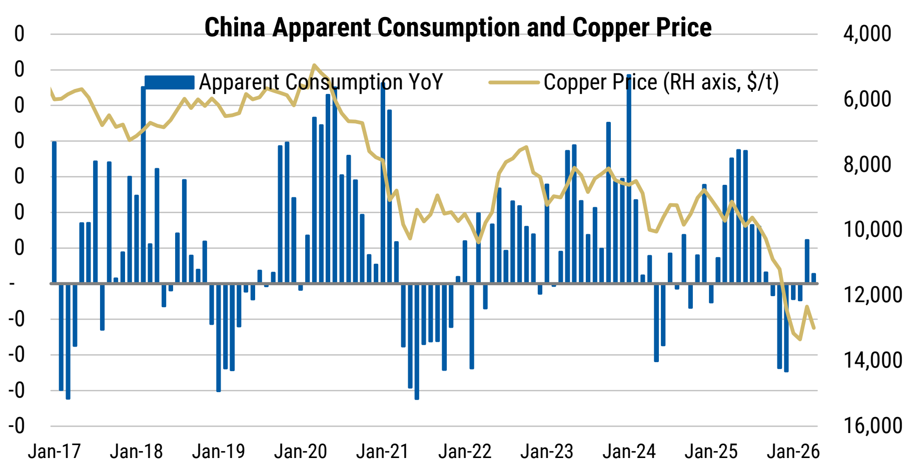
Source: Bloomberg

Exhibit 45: China Copper Inventories



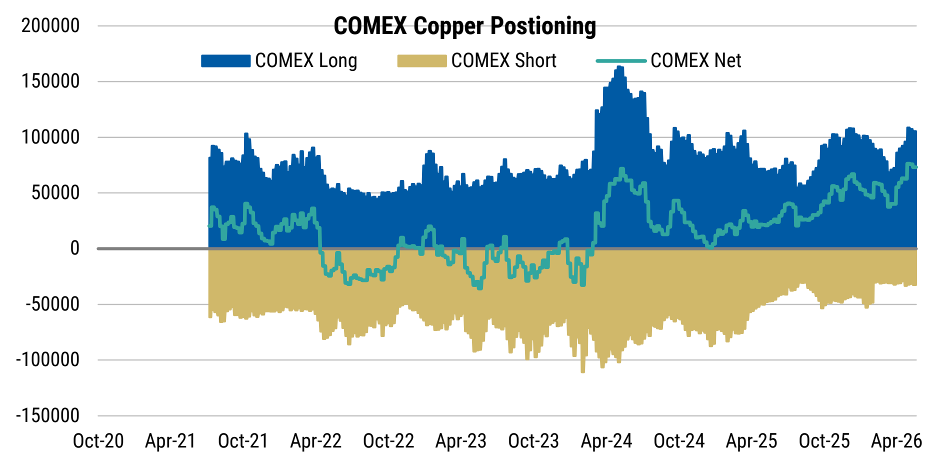
Source: Bloomberg

Exhibit 46: Copper Price versus China Apparent Consumption



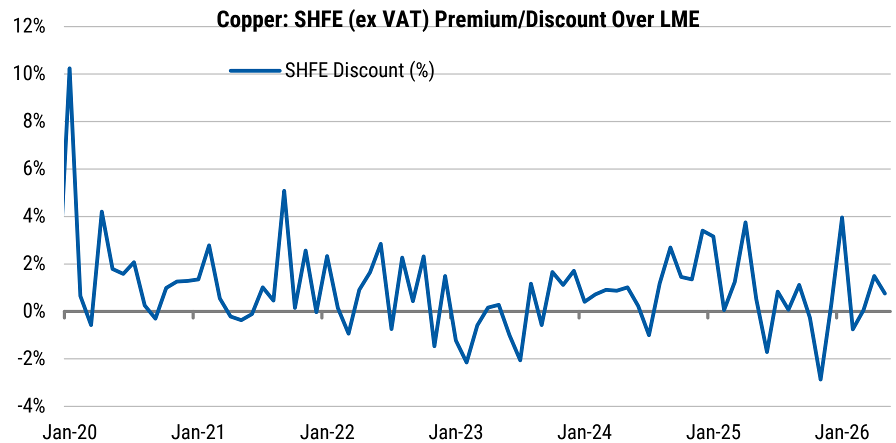
Source: Bloomberg, Morgan Stanley Research

Exhibit 47: Copper CFTC Positioning



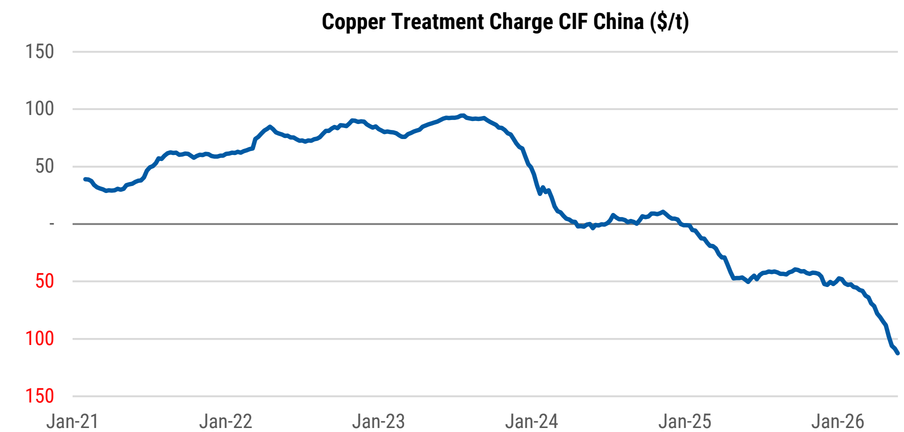
Source: COMEX

Exhibit 48: Price Differentials: SHFE vs LME



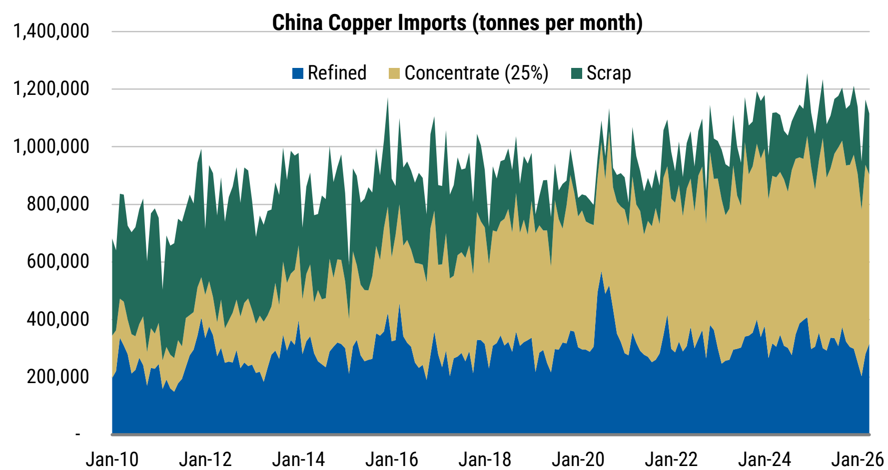
Source: Bloomberg

Exhibit 49: Copper treatment charges (TCs)



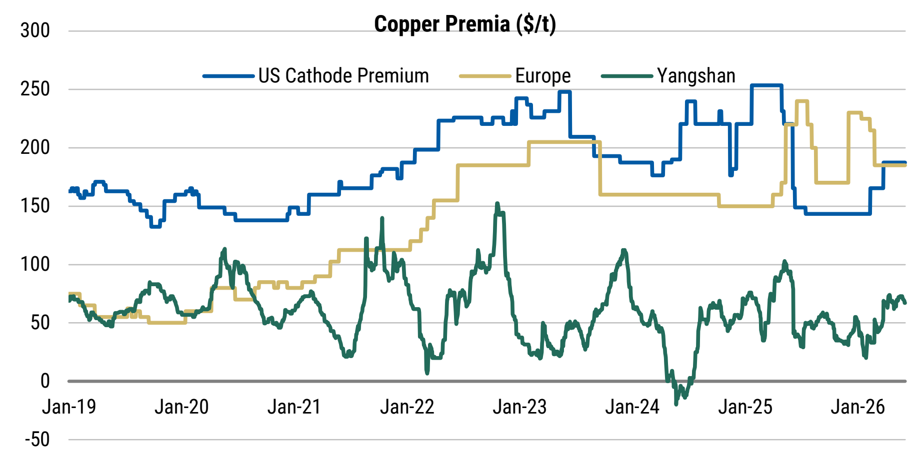
Source: Platts, Bloomberg

Exhibit 50: Raw materials: China's copper concentrate, refined and scrap monthly import



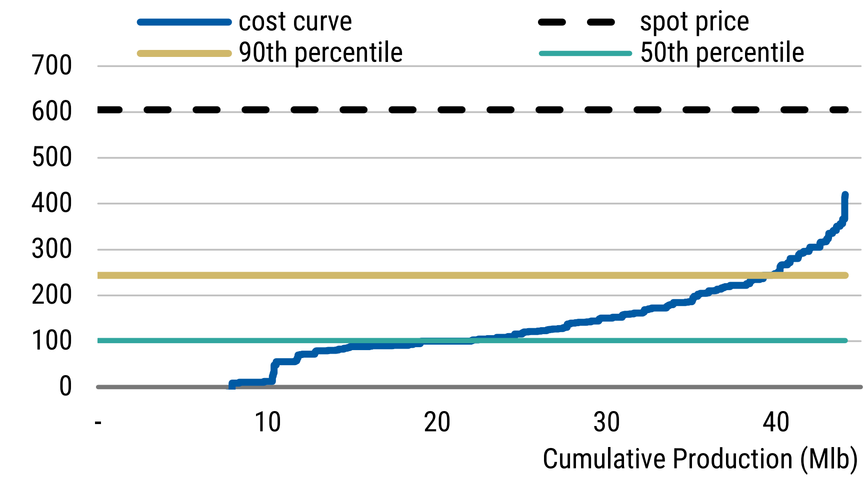
Source: China Customs, Morgan Stanley Research

Exhibit 51: Physical Demand: Copper Premia By Region



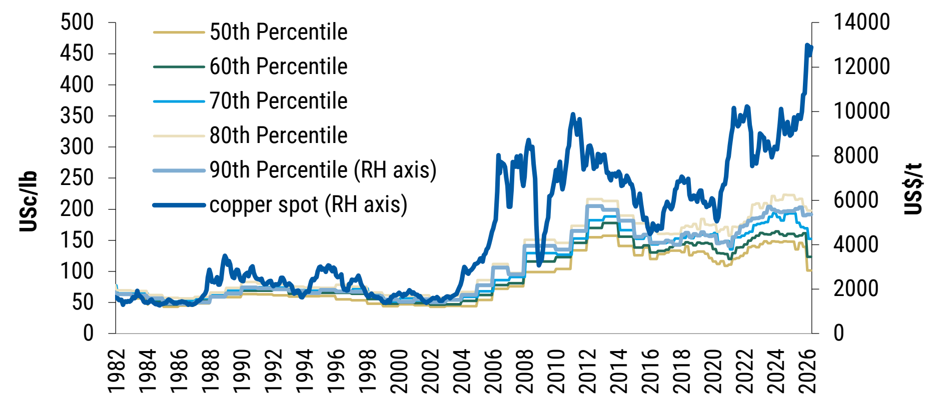
Source: Argus, Bloomberg

Exhibit 52: Copper C1 Cost Curve vs Spot (USc/lb)



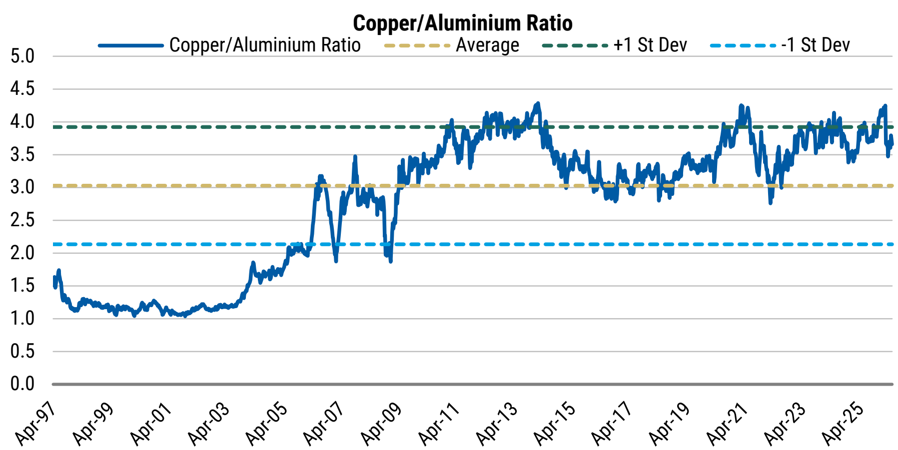
Source: Wood Mackenzie

Exhibit 53: Copper Cost Curve Evolution



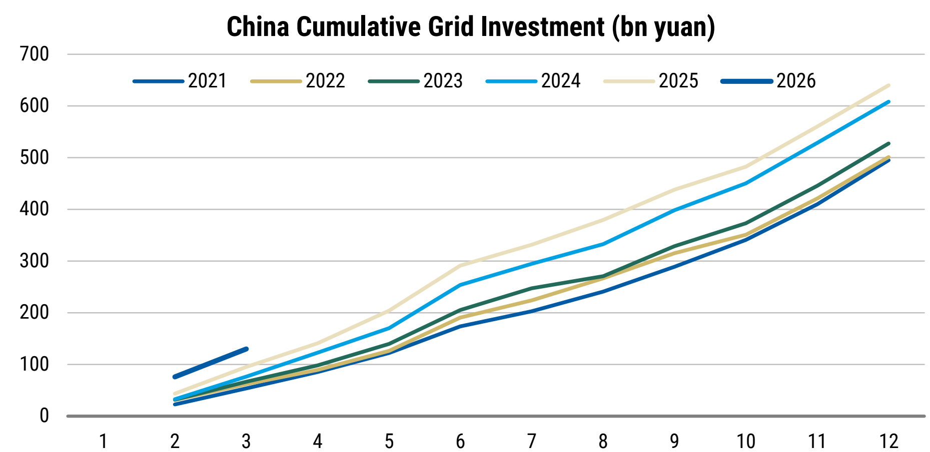
Source: Wood Mackenzie

Exhibit 54: Copper: Aluminium Ratio



Source: Bloomberg, Morgan Stanley Research

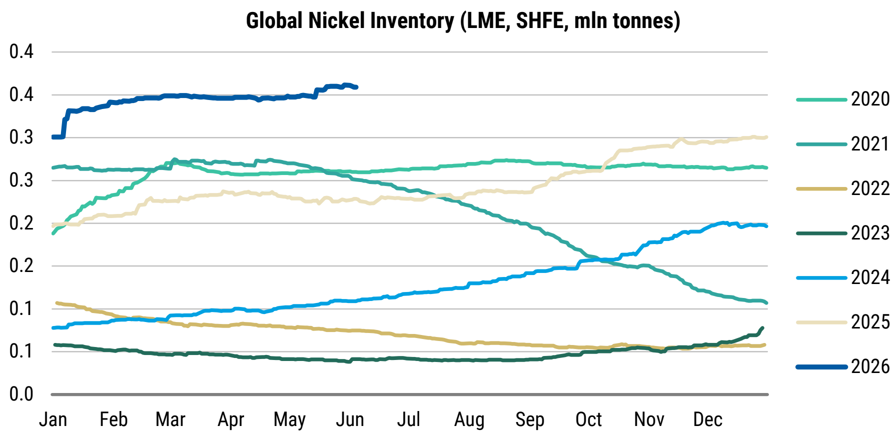
Exhibit 55: China Grid Investment



Source: Bloomberg, Morgan Stanley Research

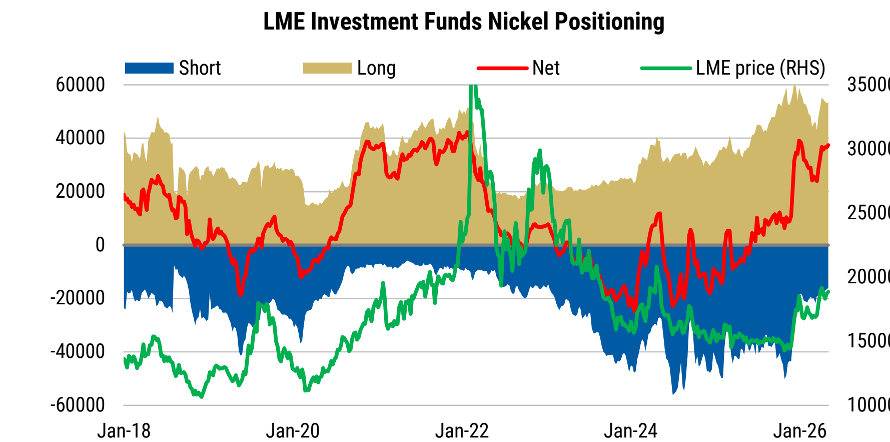
Nickel

Exhibit 56: Global Nickel Inventories



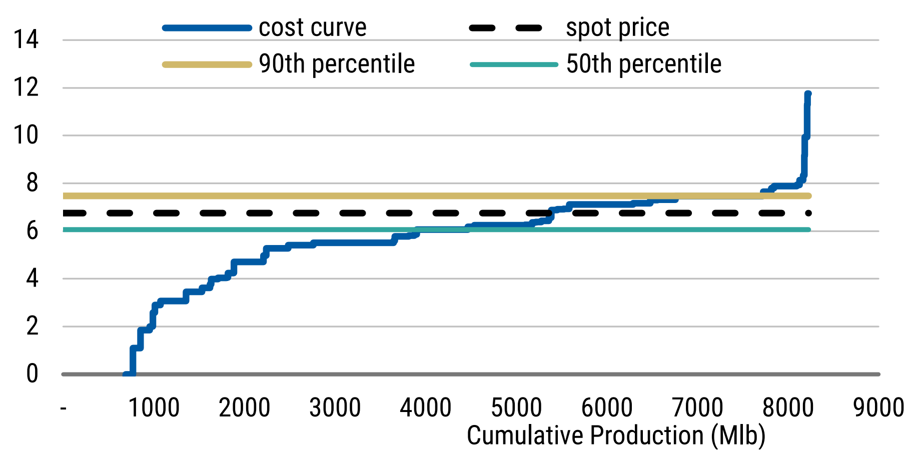
Source: Bloomberg

Exhibit 57: LME Nickel Positioning



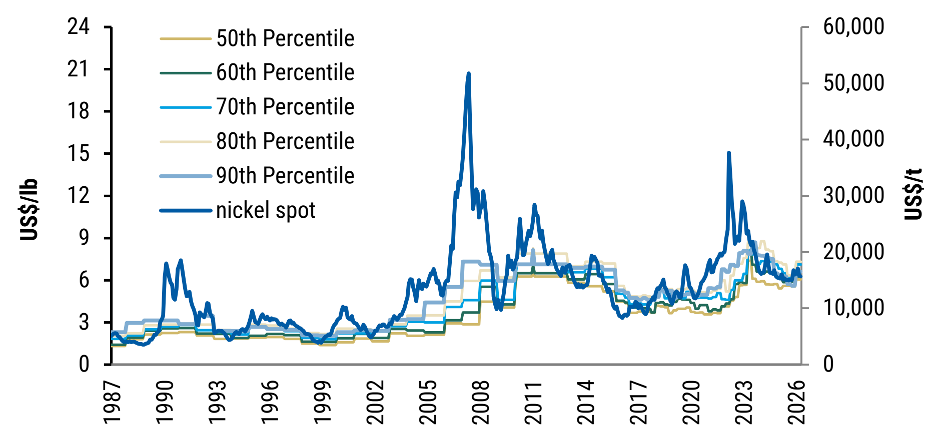
Source: Bloomberg

Exhibit 58: Nickel C1 Cost Curve vs Spot (USc/lb)



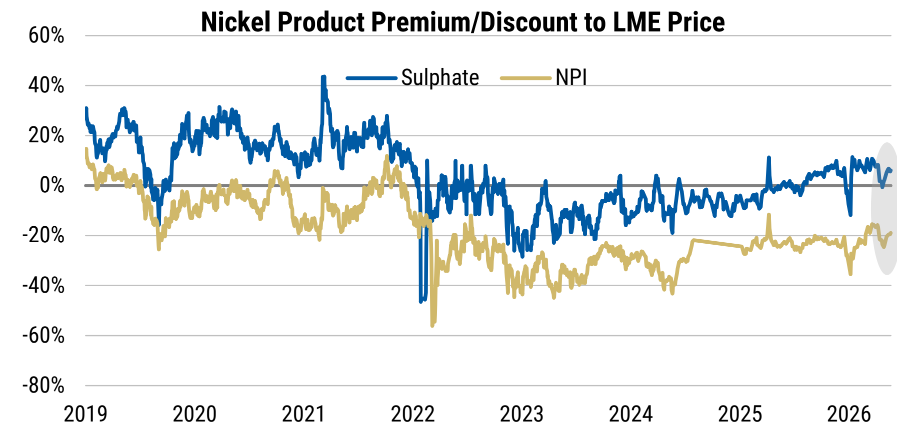
Source: Wood Mackenzie

Exhibit 59: Nickel Cost Curve Evolution



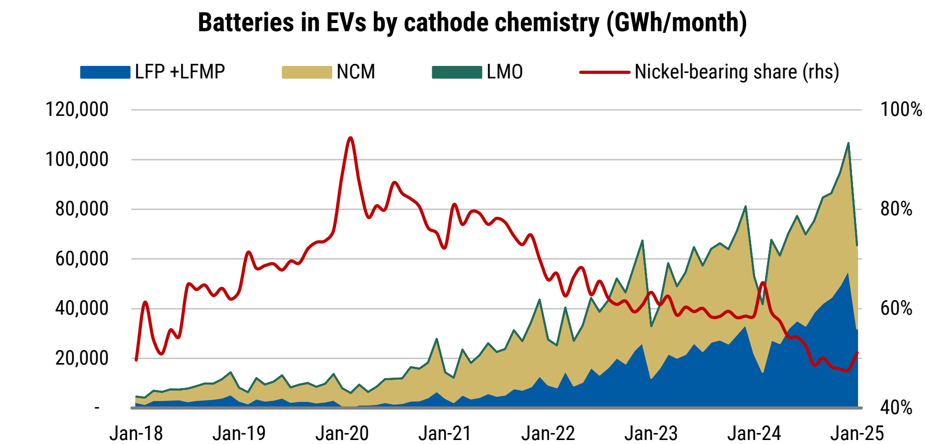
Source: Wood Mackenzie

Exhibit 60: Nickel Product Spreads vs LME Price



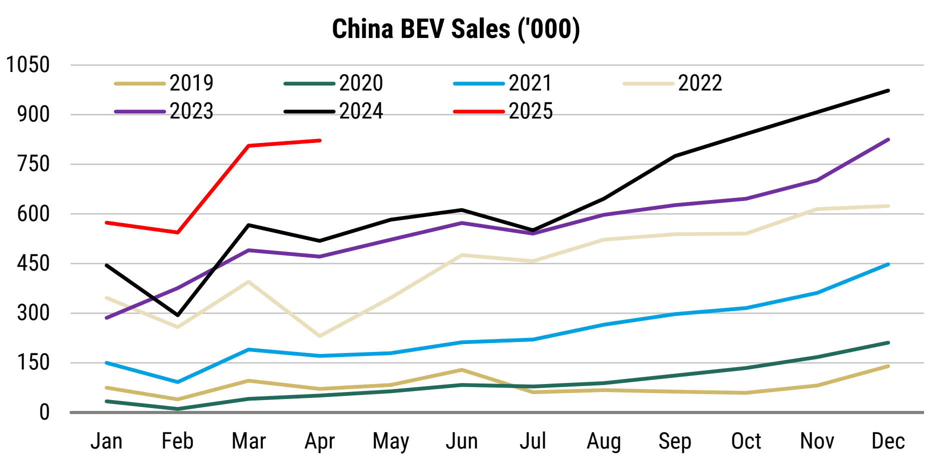
Source: Argus Metals

Exhibit 61: Global Battery Deployment by Chemistry



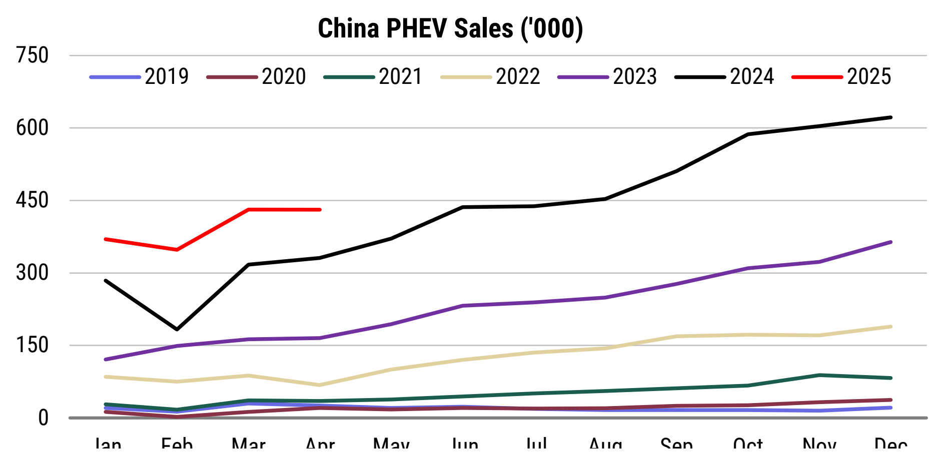
Source: Rho Motion

Exhibit 62: China NEV Sales



Source: CEIC, CAAM

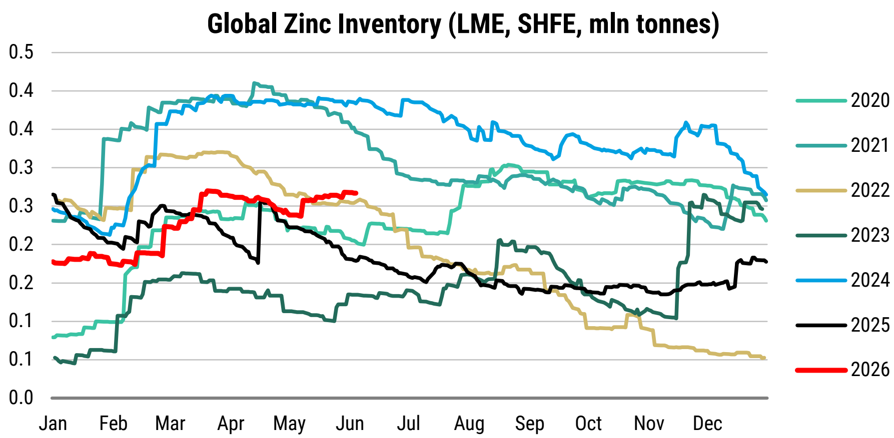
Exhibit 63: China PHEV Sales



Source: CEIC, CAAM

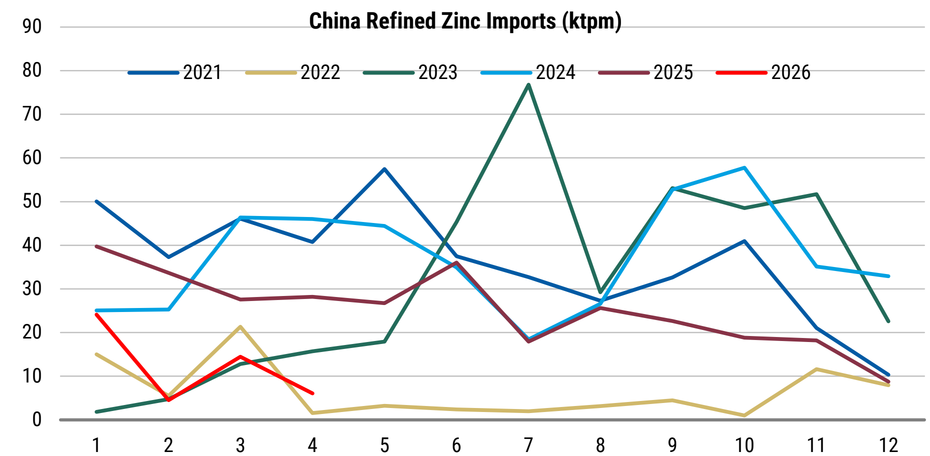
Zinc

Exhibit 64: Global Zinc Inventories



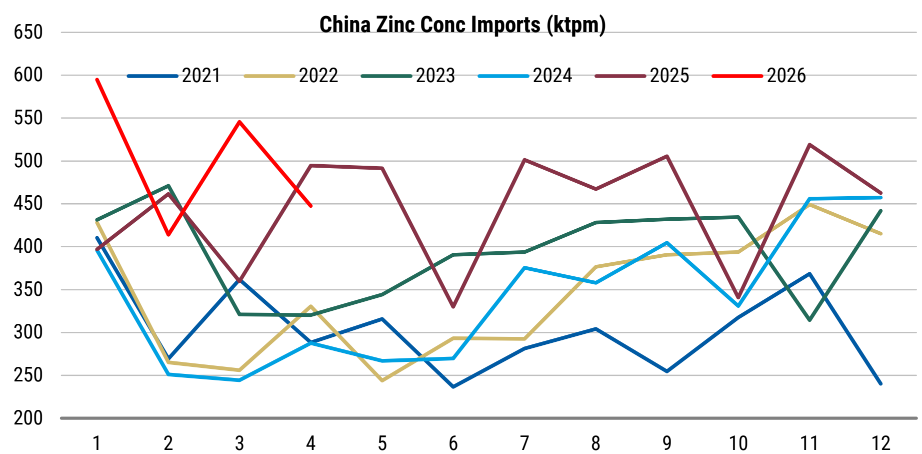
Source: Bloomberg

Exhibit 65: China Refined Zinc Imports



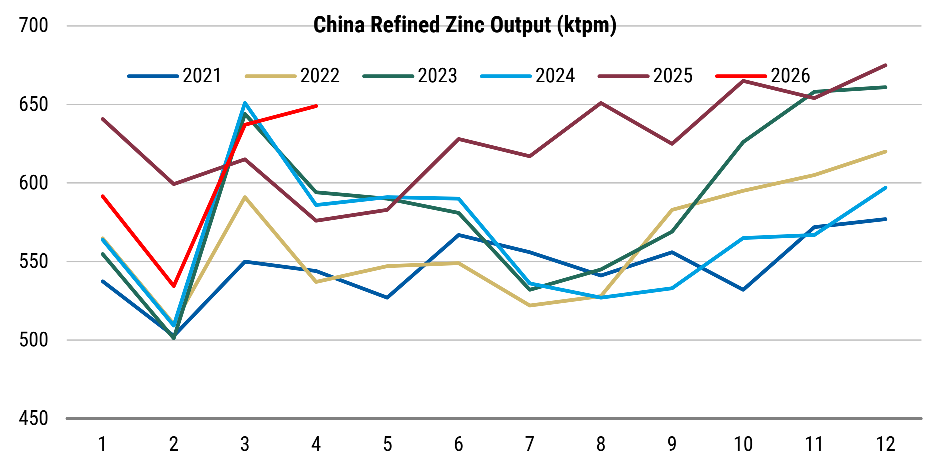
Source: Bloomberg

Exhibit 66: China Zinc Concentrate Imports



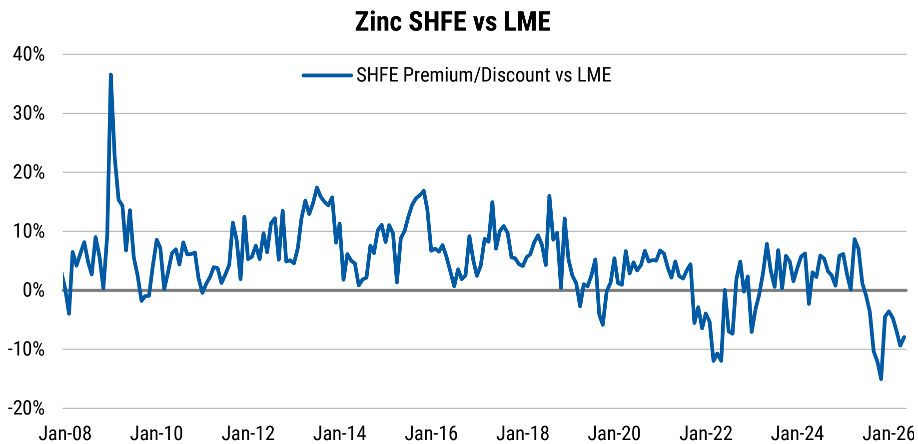
Source: Bloomberg

Exhibit 67: China Refined Zinc Output



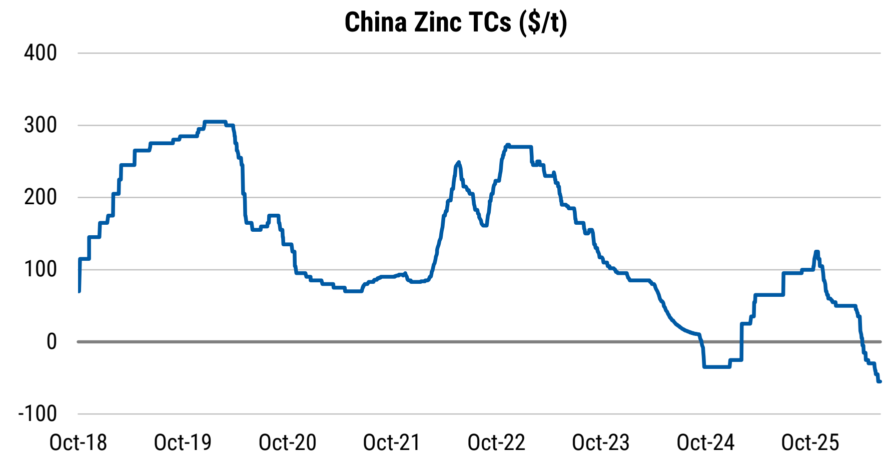
Source: Bloomberg

Exhibit 68: Price Differentials: SHFE vs LME



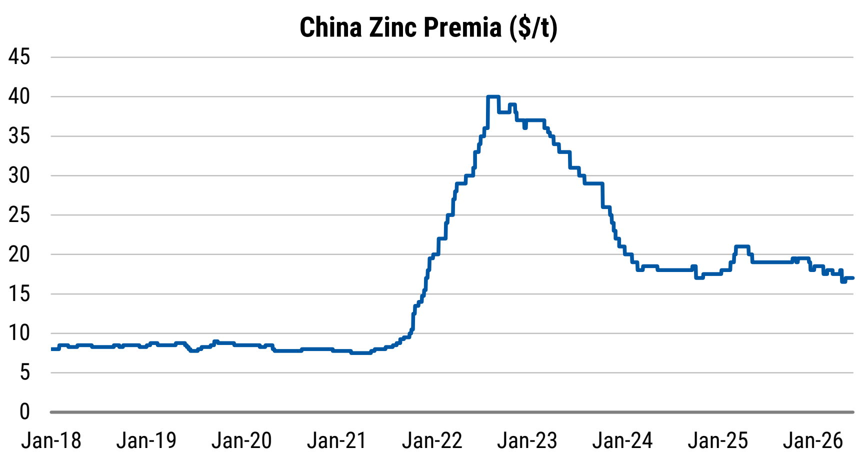
Source: Bloomberg

Exhibit 69: Zinc Treatment Charges



Source: Bloomberg

Exhibit 70: Zinc Premia

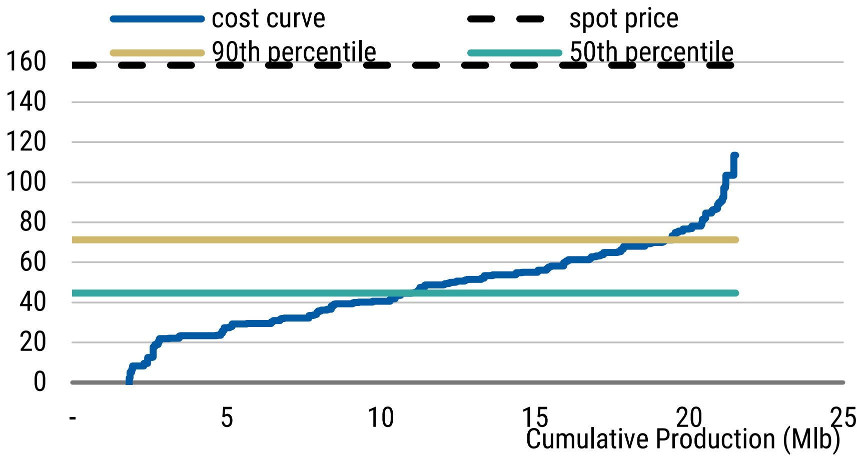


Source: Bloomberg

Exhibit 71: Zinc/Lead Ratio

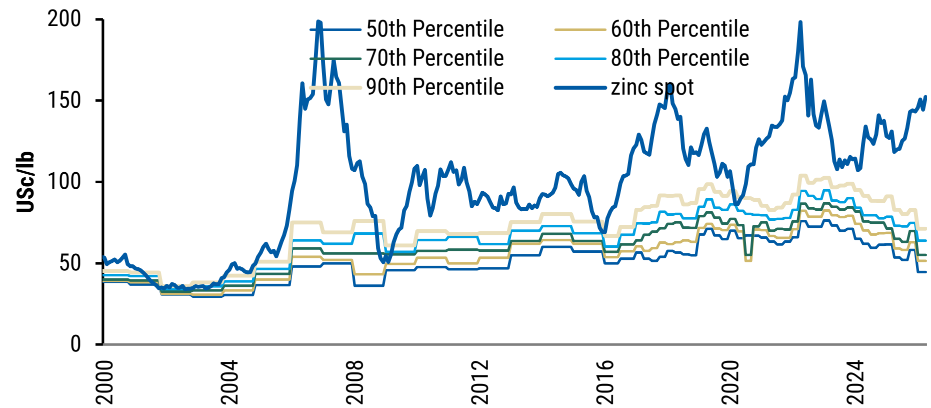
Source: Bloomberg

Exhibit 72: Zinc C1 Cost Curve vs Spot ($/t)



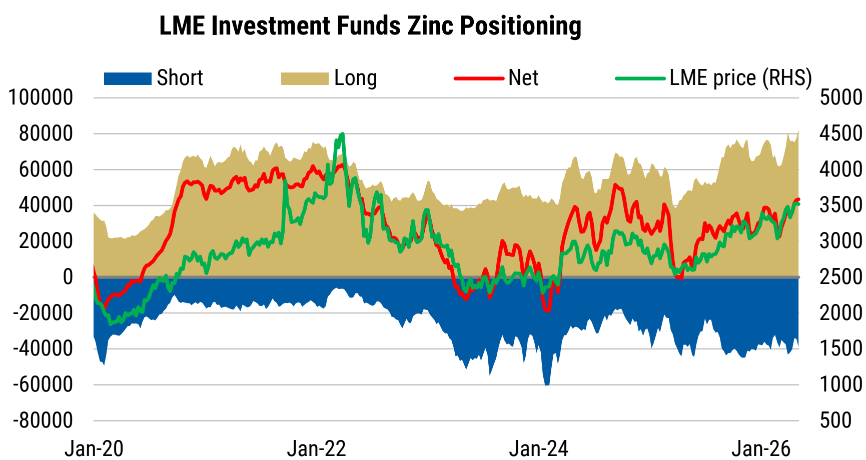
Source: Woodmac

Exhibit 73: Zinc Cost Curve Evolution



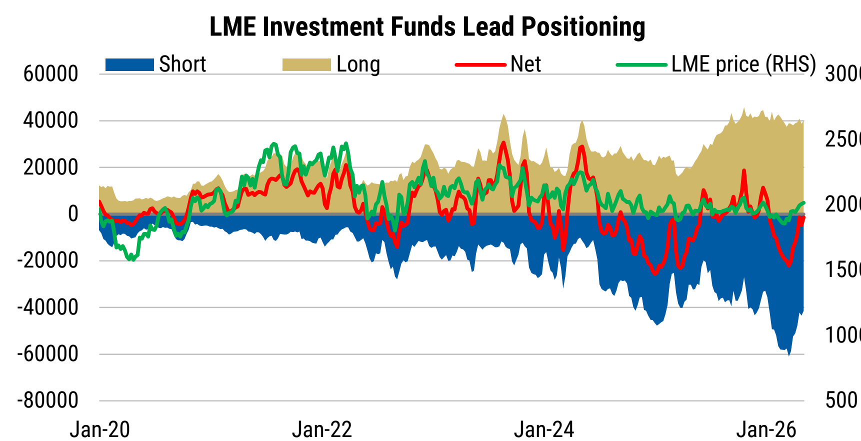
Source: Woodmac

Exhibit 74: Zinc Positioning



Source: Bloomberg

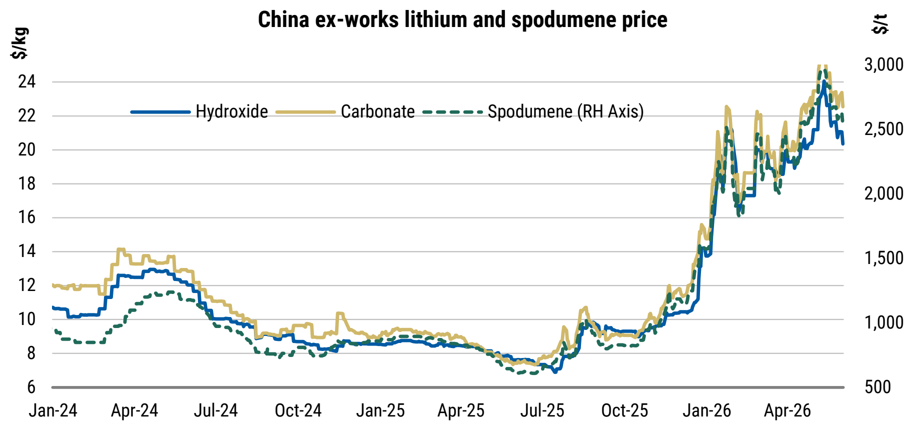
Exhibit 75: Lead Positioning



Source: Bloomberg

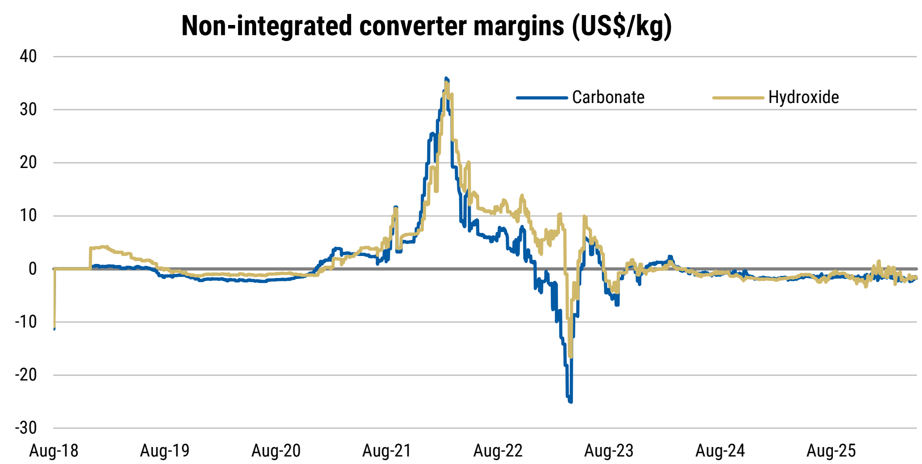
Lithium

Exhibit 76: Lithium Chemical Prices



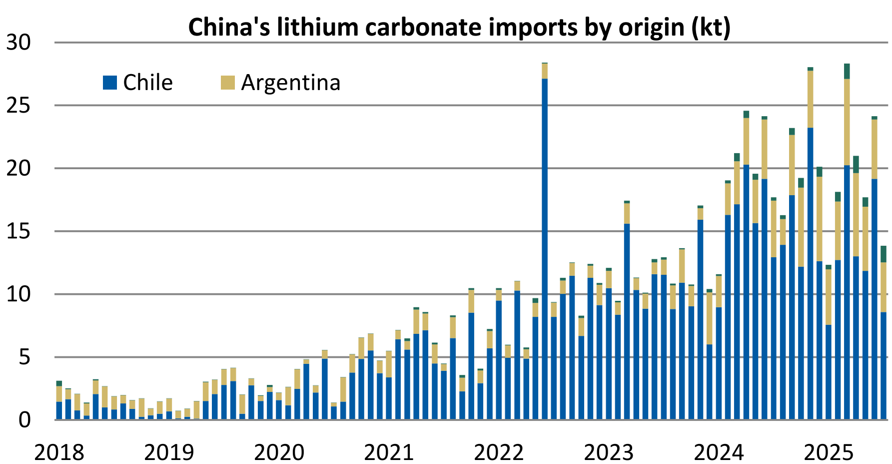
Source: Fastmarkets, Morgan Stanley Research

Exhibit 77: Non-integrated Convertor Margins



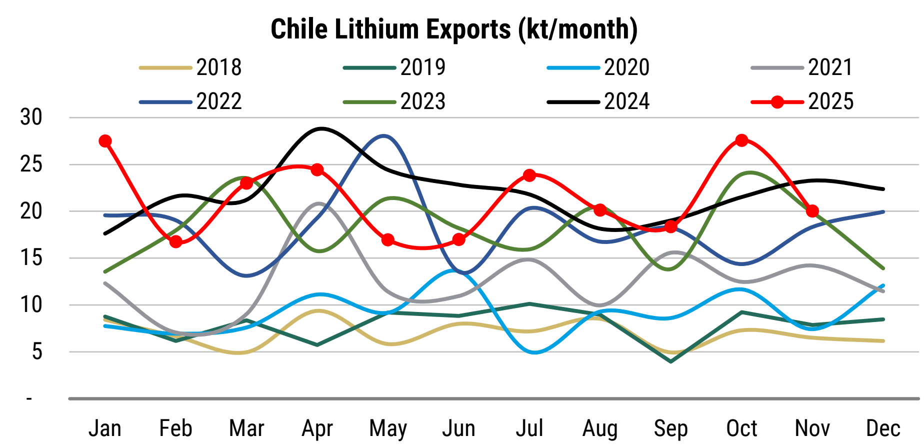
Source: Fastmarkets, Morgans Stanley Research

Exhibit 78: China Lithium Carbonate Imports



Source: Rystad, Morgan Stanley Research

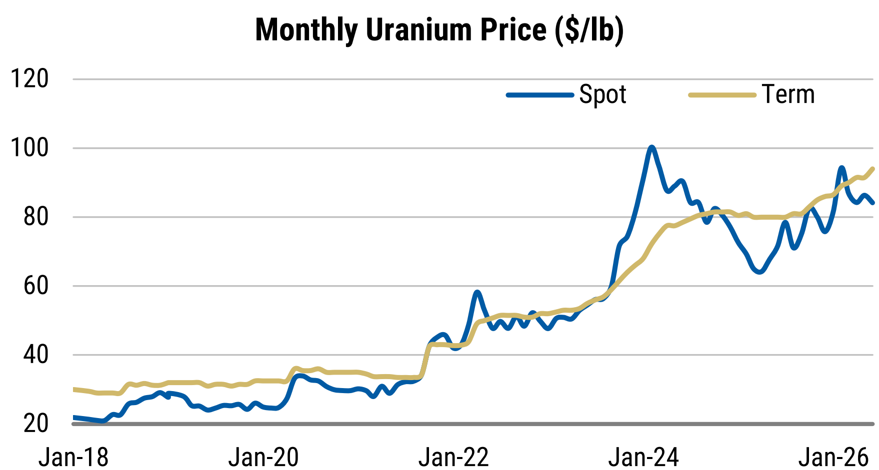
Exhibit 79: Chile Lithium Exports



Source: Chile Customs, Morgan Stanley Research

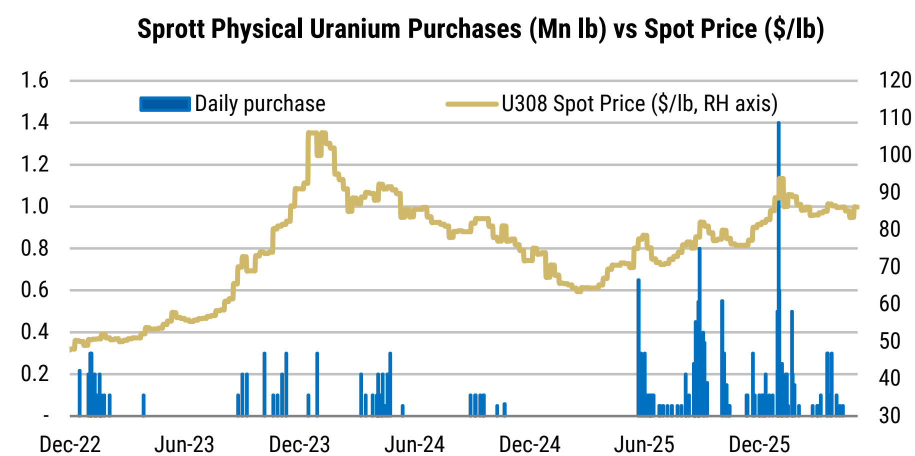
Uranium

Exhibit 80: Uranium Price (Spot and Term)



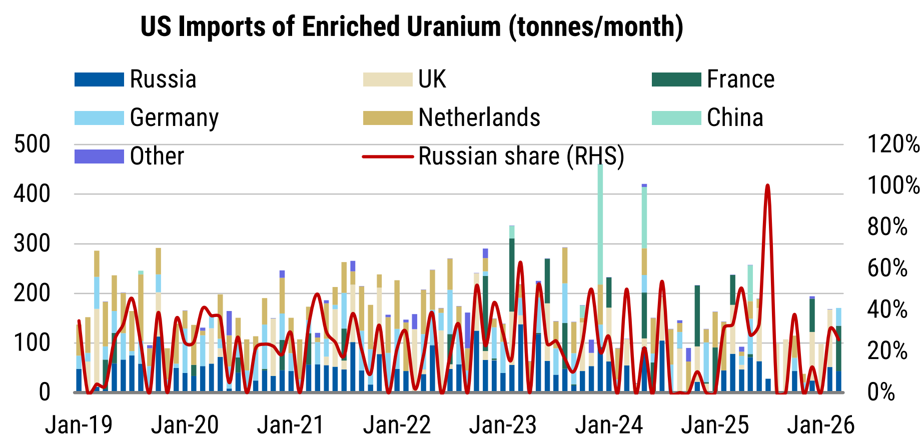
Source: Cameco

Exhibit 81: Sprott ETF Purchases



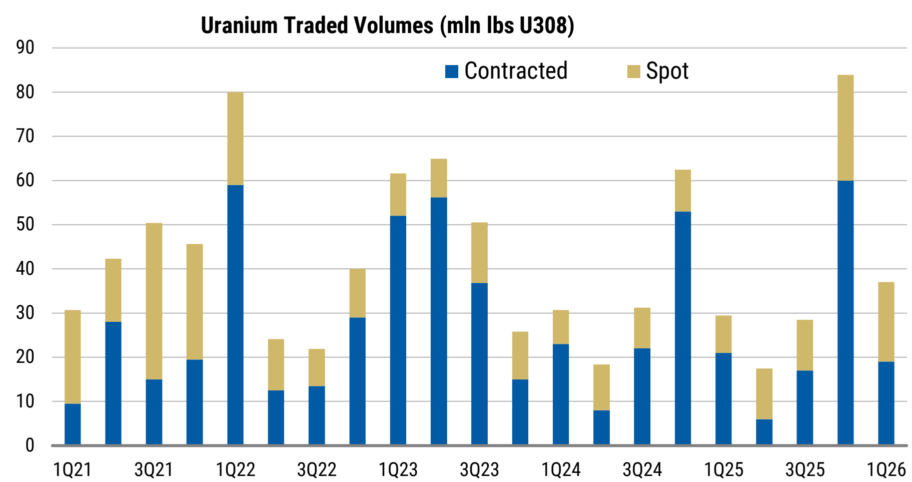
Source: Sprott, UxC, Morgan Stanley Research

Exhibit 82: US Enriched Uranium Imports



Source: Trademap

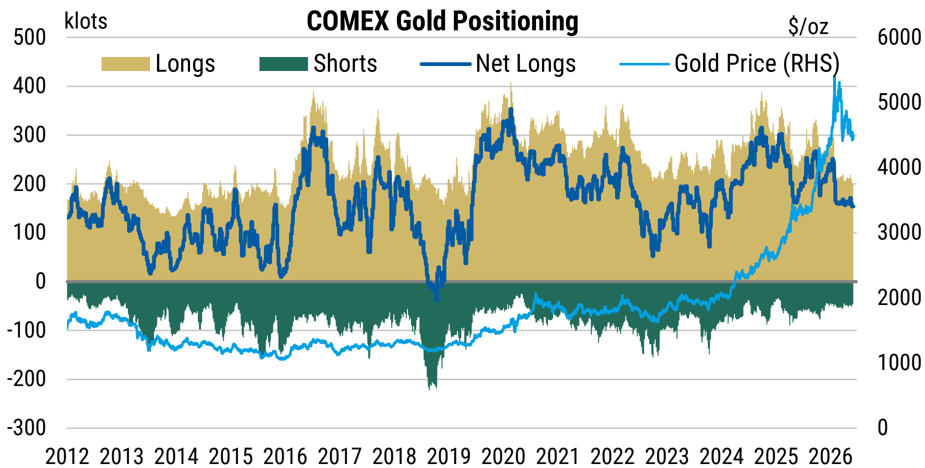
Exhibit 83: Quarterly contracting volumes



Source: Kazatomprom

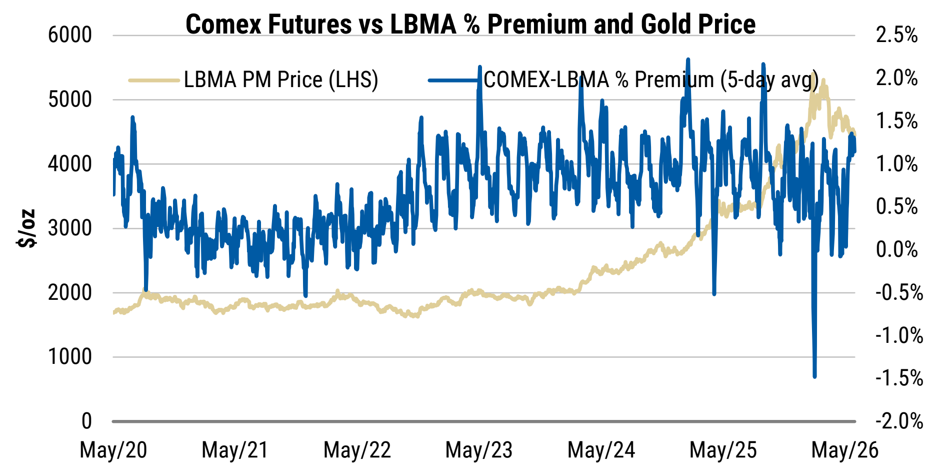
Gold and Other Precious Metals

Exhibit 84: CFTC Gold Futures Positioning



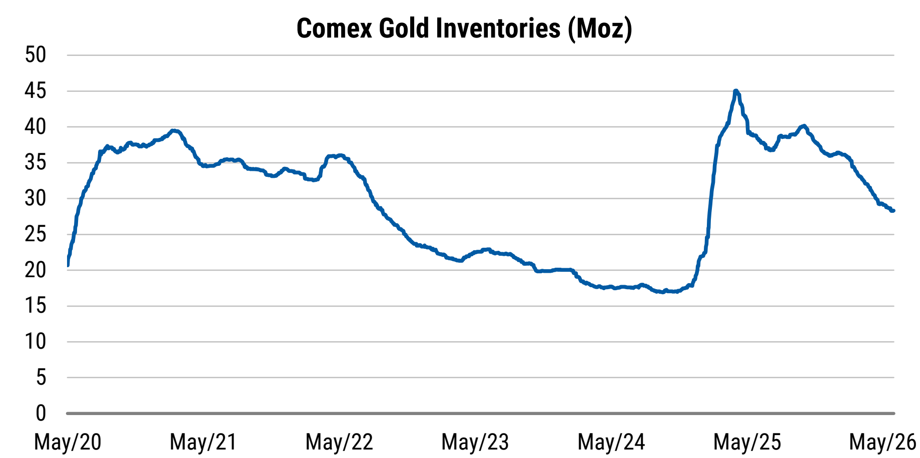
Source: Bloomberg

Exhibit 85: COMEX-LBMA Gold Premium



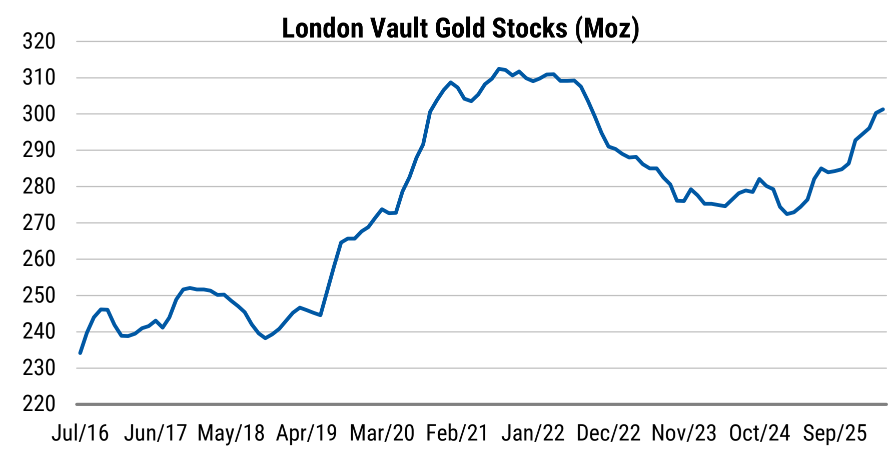
Source: Bloomberg

Exhibit 86: COMEX Gold Inventories



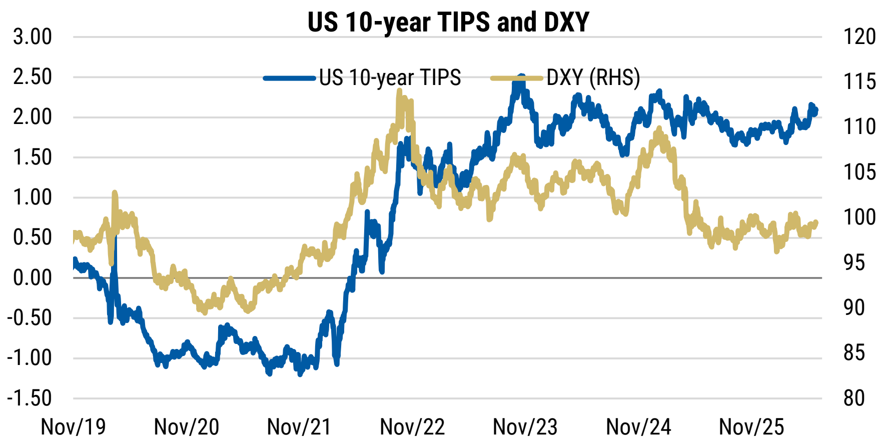
Source: Bloomberg

Exhibit 87: London Gold Vault Stocks



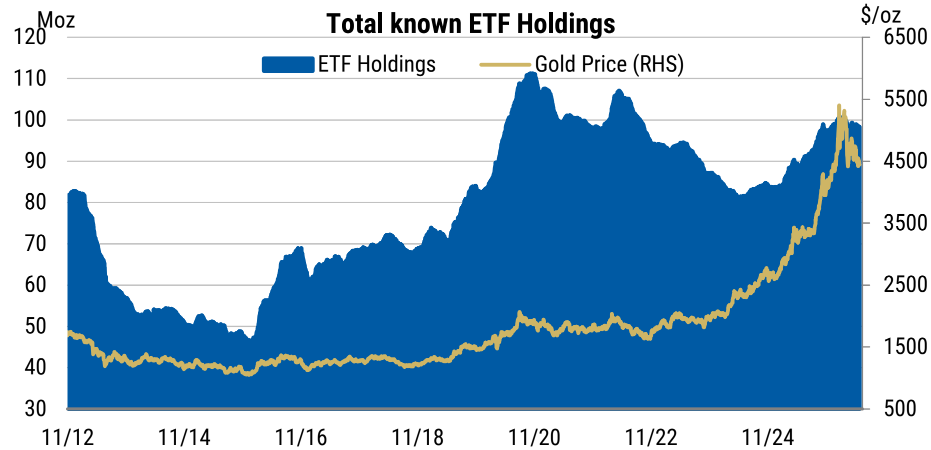
Source: LBMA

Exhibit 88: US 10 Year TIPS and DXY



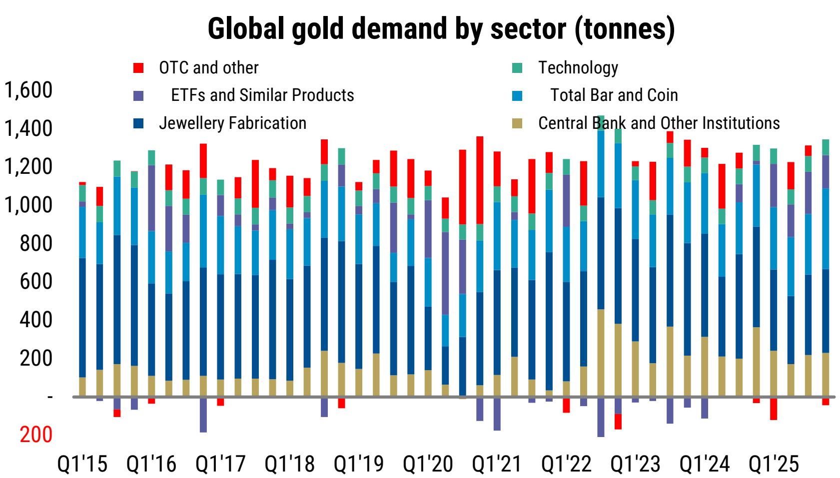
Source: Bloomberg

Exhibit 89: ETF Holdings vs Gold Price



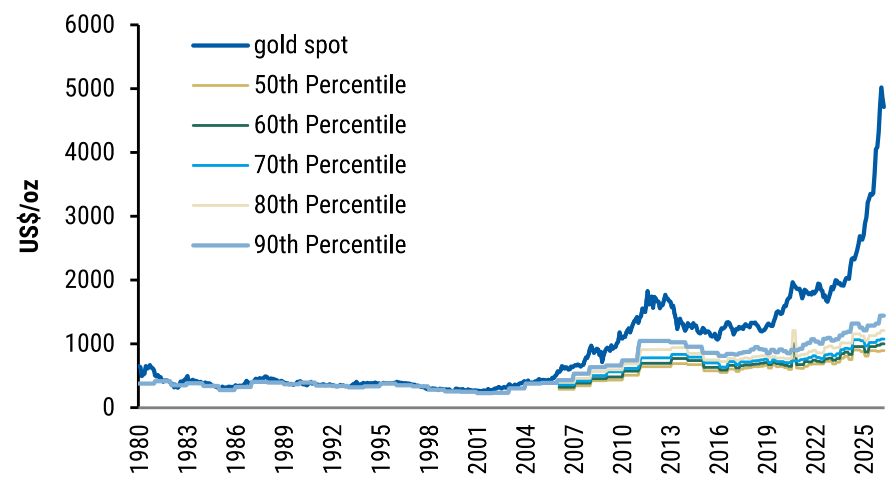
Source: Bloomberg

Exhibit 90: Global Gold Demand by Sector



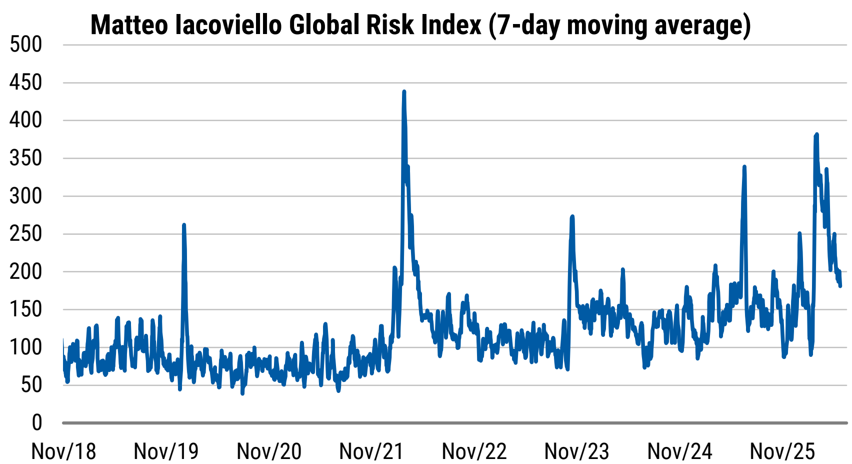
Source: World Gold Council

Exhibit 91: Gold Cost Curve Evolution



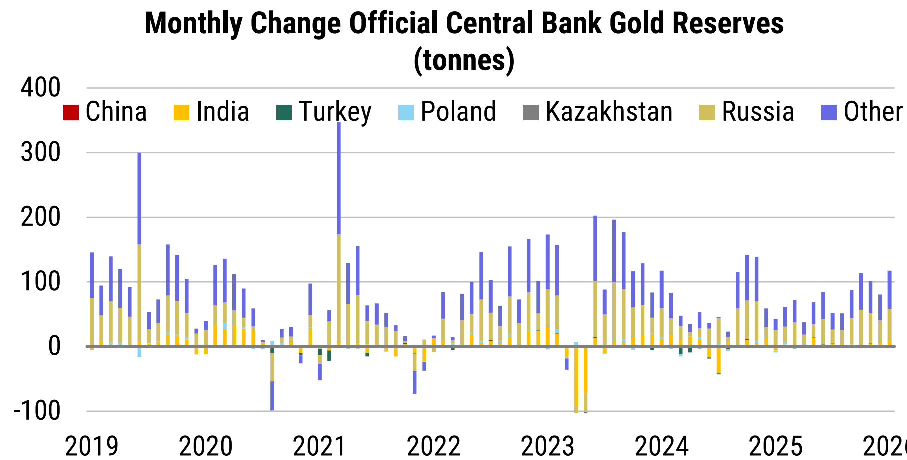
Source: Woodmac

Exhibit 92: Geopolitical Risk Index



Source: Mateo Iacoviello

Exhibit 93: Monthly Central Bank Purchasing

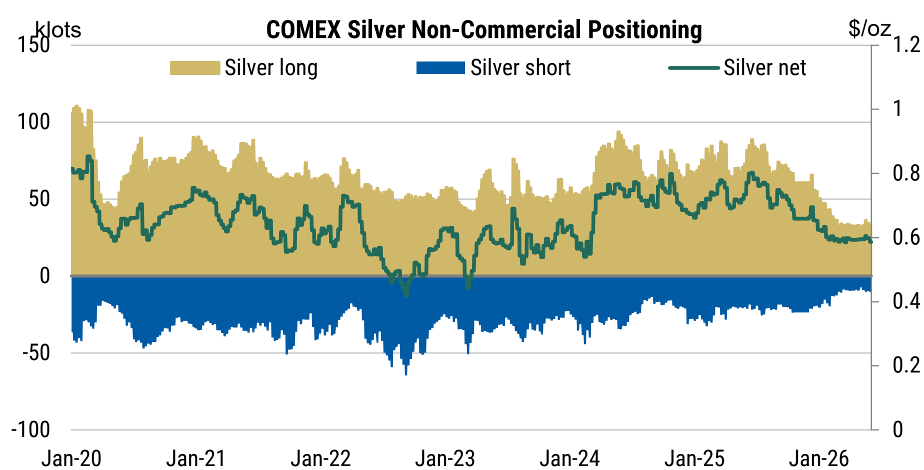


Source: World Gold Council

Exhibit94: Gold/Silver Ratio

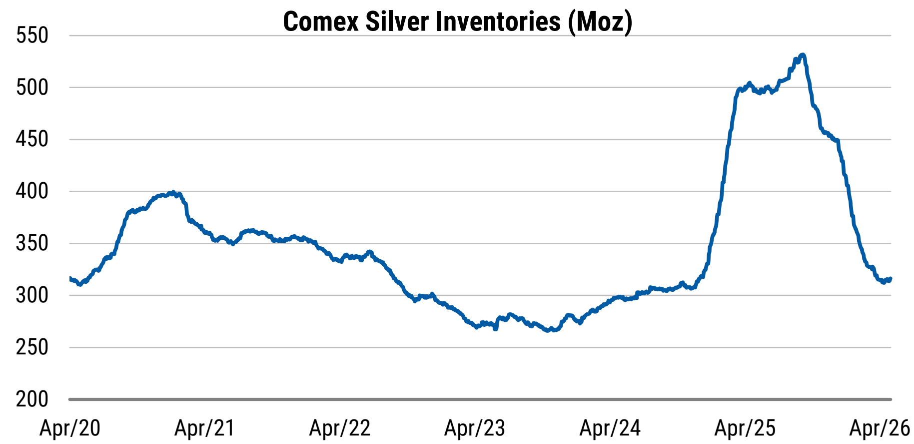
Source: Bloomberg

Exhibit95: CFTC Silver Futures Positioning



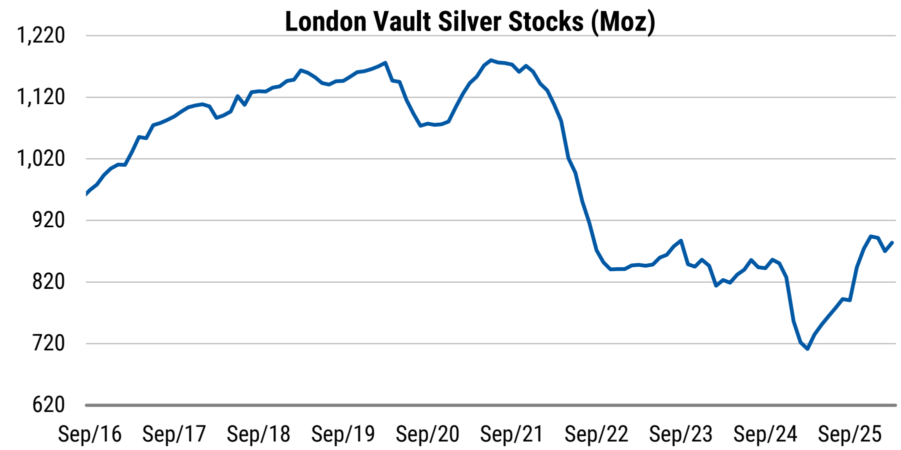
Source: Bloomberg

Exhibit 96: COMEX Silver Inventories



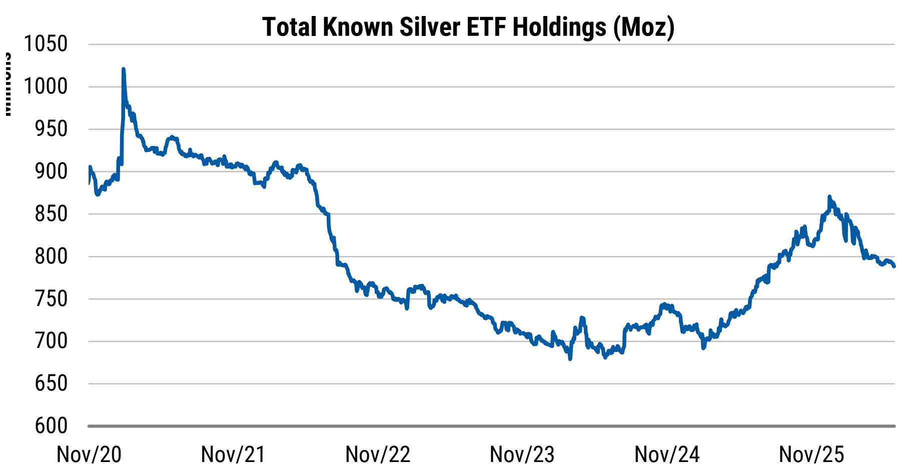
Source: Bloomberg

Exhibit 97: London Vault Silver Stocks



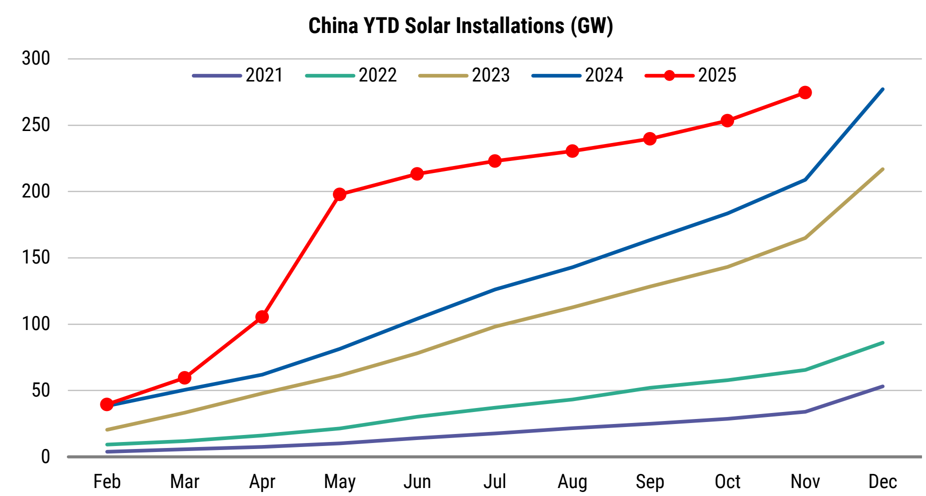
Source: LBMA

Exhibit 98: Total ETF Holdings



Source: Bloomberg

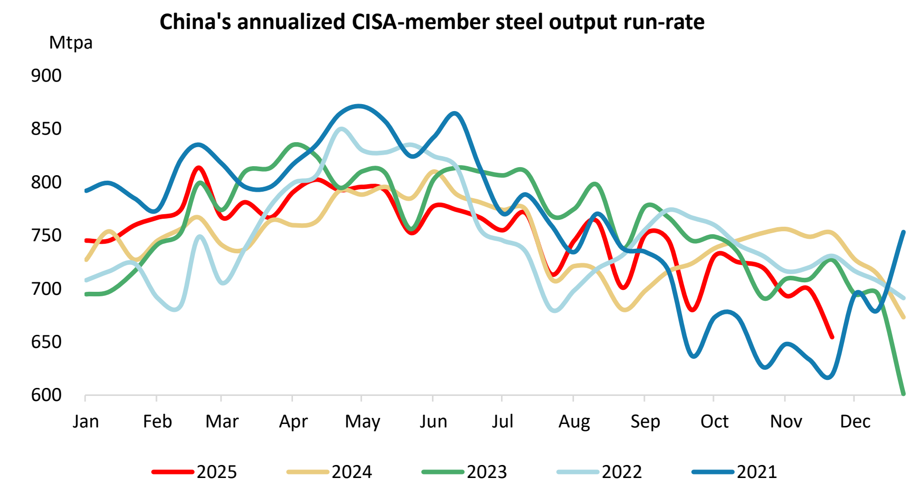
Exhibit 99: China Solar Installations



Source: Bloomberg

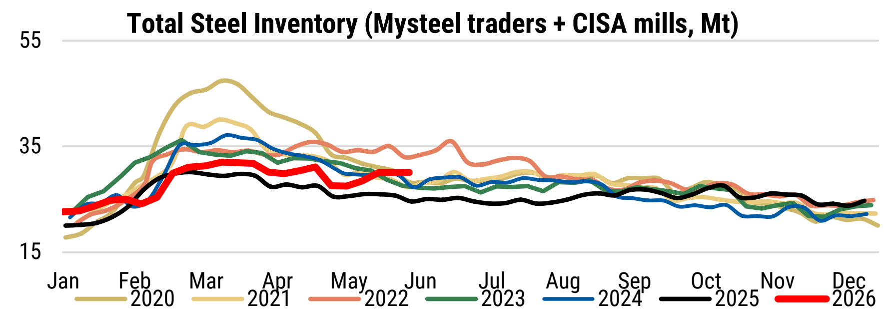
Iron Ore & Steel

Exhibit 100: China CISA Steel Production



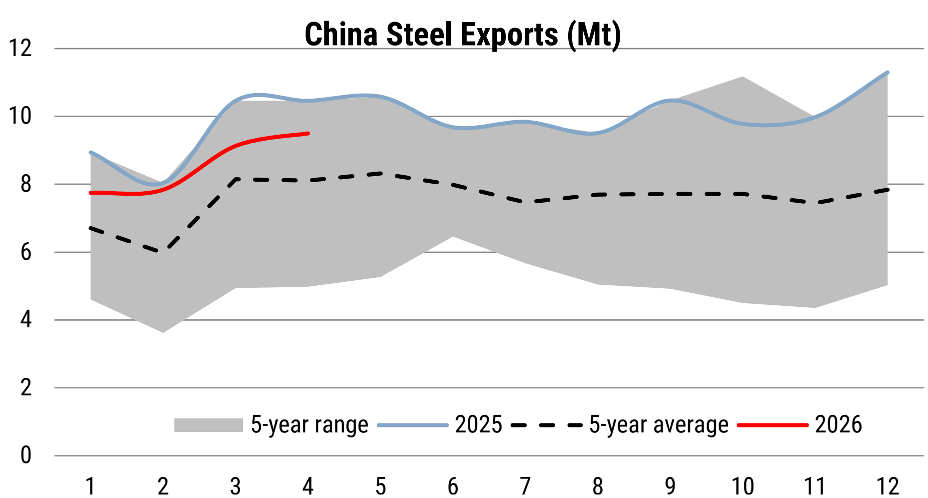
Source: CISA

Exhibit 101: China Steel Inventory



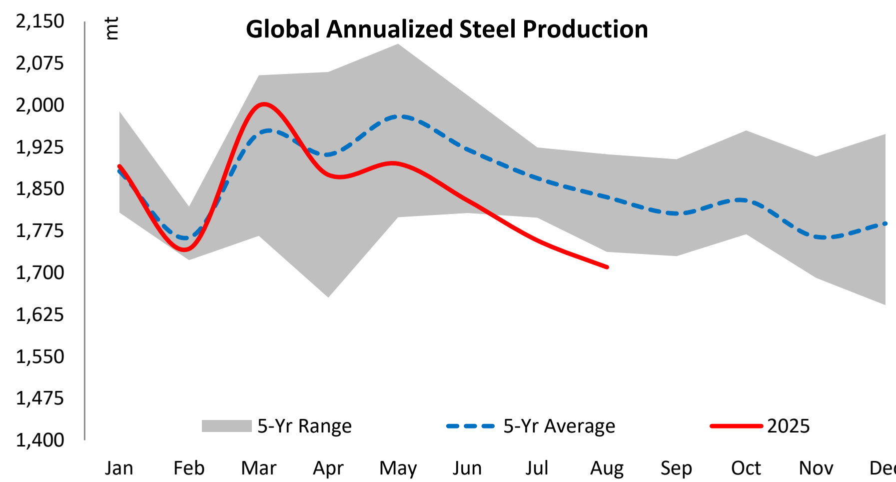
Source: Mysteel

Exhibit 102: China Steel Exports



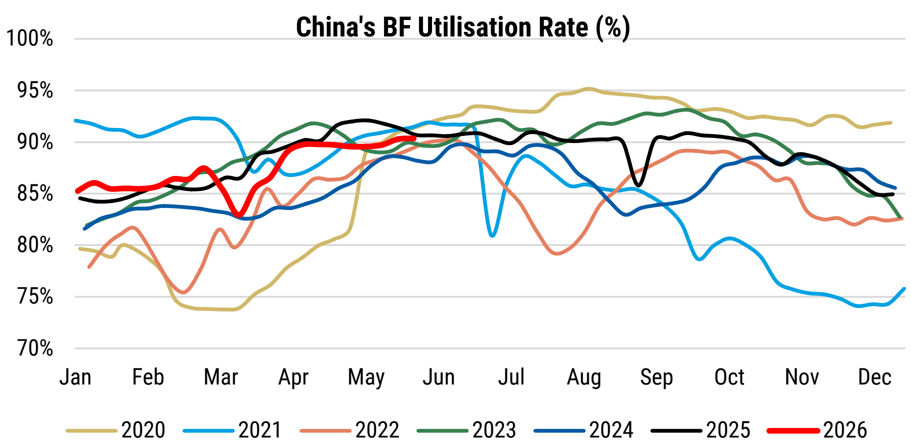
Source: Bloomberg

Exhibit 103: Global Steel Production



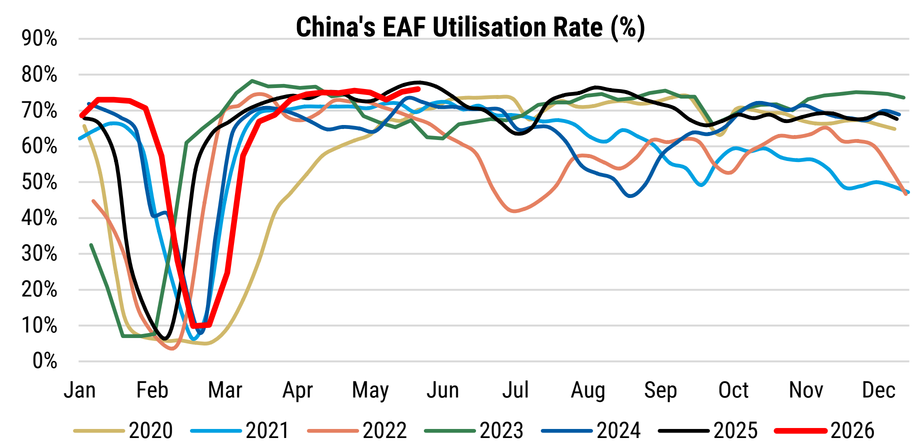
Source: WSA

Exhibit 104: China BF Utilisation Rate



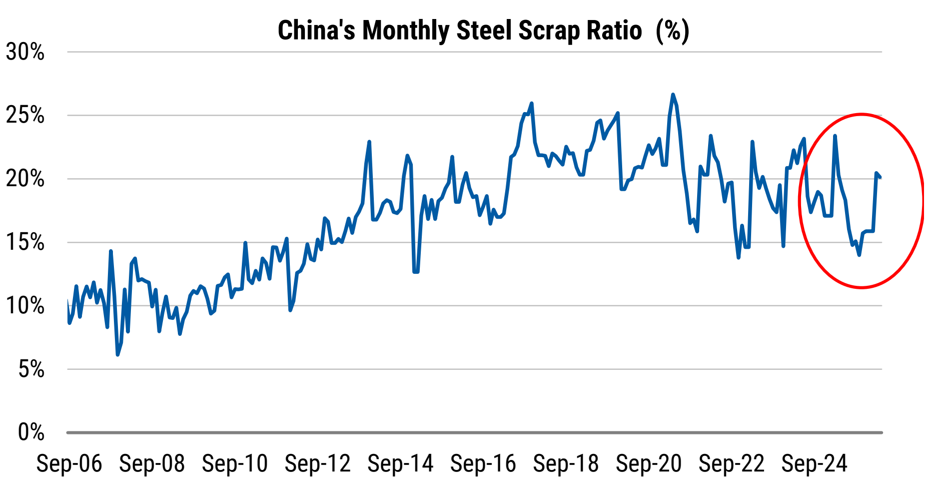
Source: Mysteel

Exhibit 105: China EAF Utilisation Rate



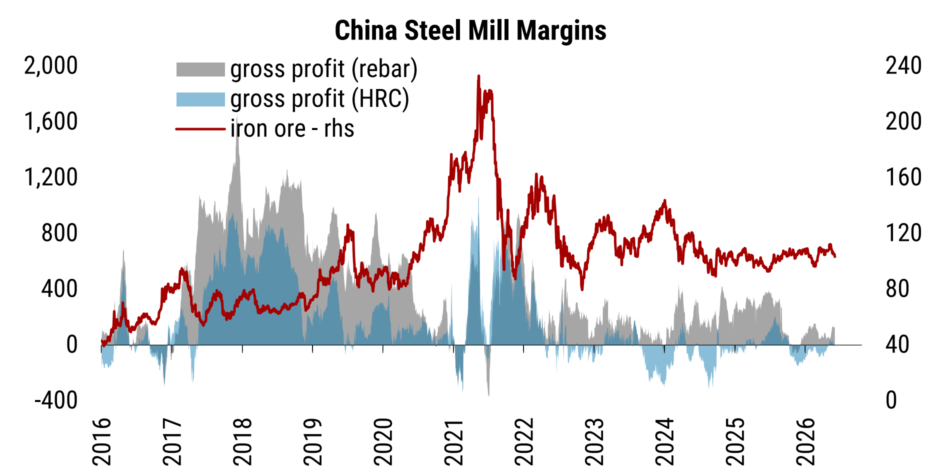
Source: Mysteel

Exhibit 106: China Steel Scrap Ratio



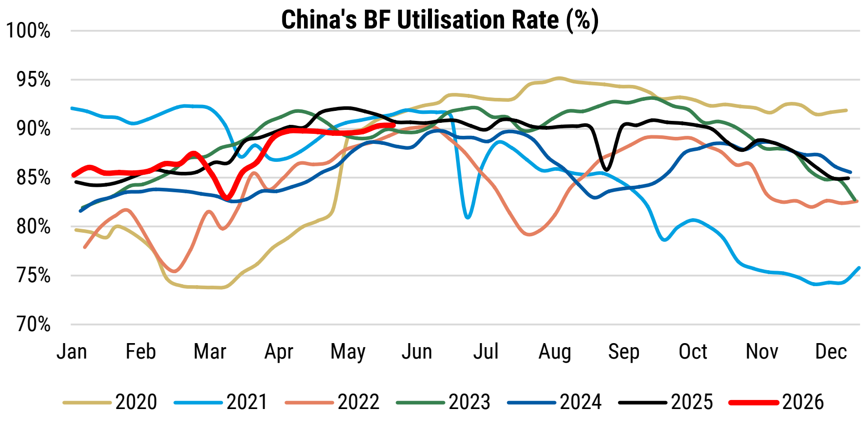
Source: Bloomberg

Exhibit 107: China Steel Mill Margin



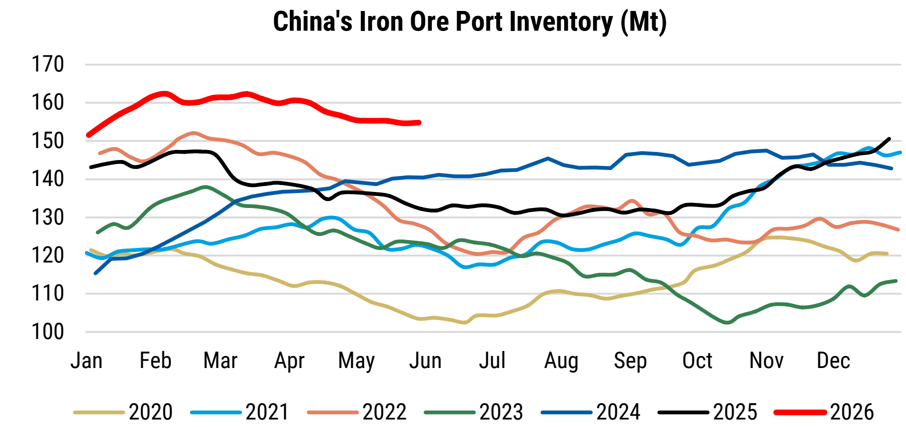
Source: Mysteel

Exhibit 108: China BF Utilisation



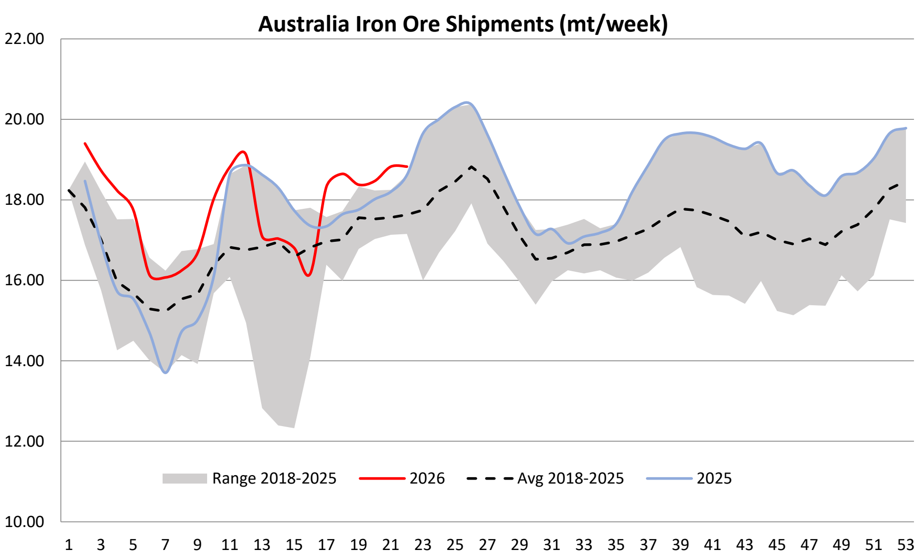
Source: Bloomberg

Exhibit 109: China Iron Ore Port Inventory



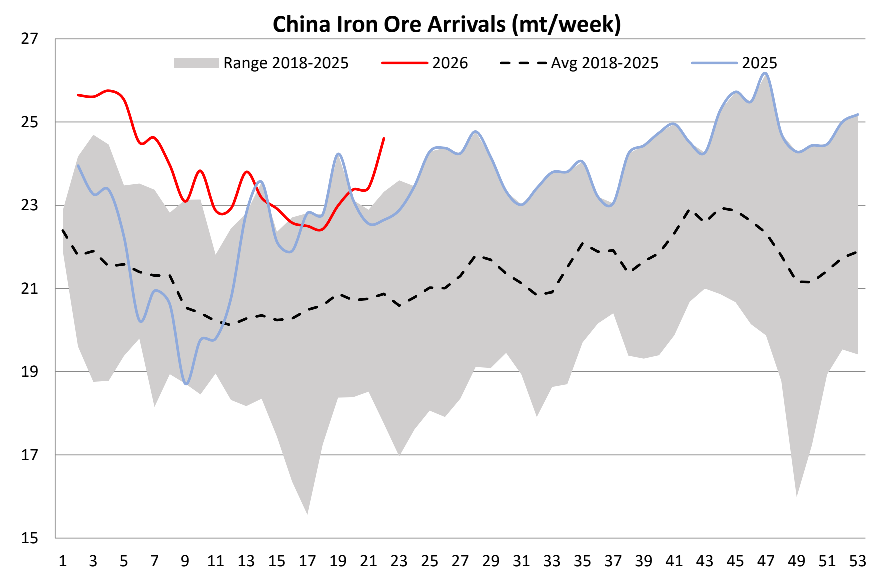
Source: Mysteel

Exhibit 110: Australia Iron Ore Shipments



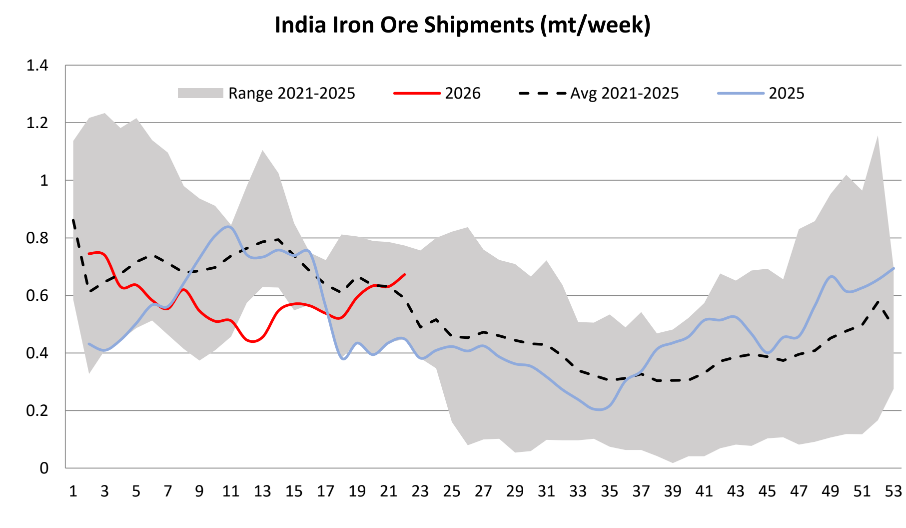
Source: Eikon

Exhibit 111: China Iron Ore Arrivals



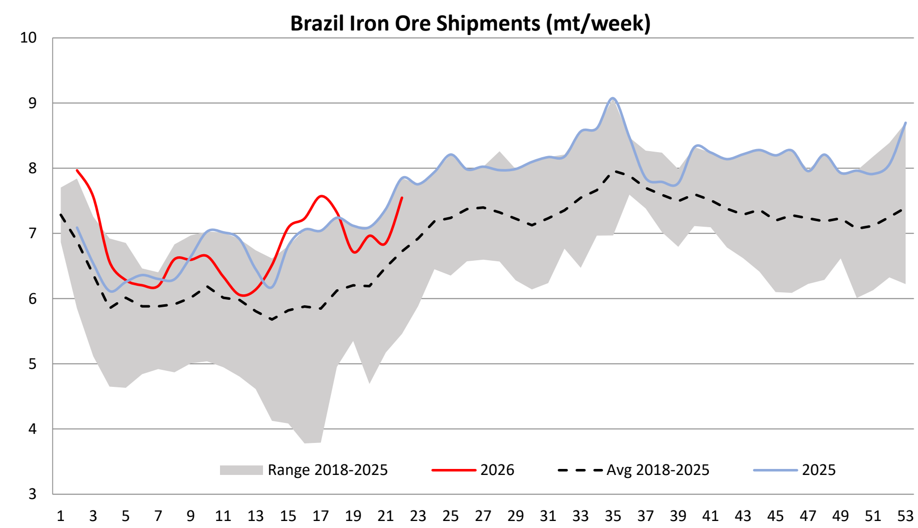
Source: Eikon

Exhibit 112: India Iron Ore Shipments



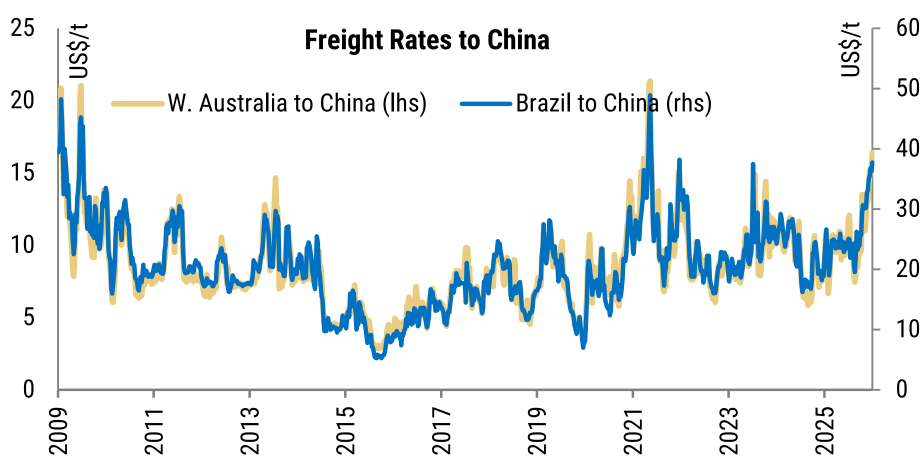
Source: Eikon

Exhibit 113: Brazil Iron Ore Shipments



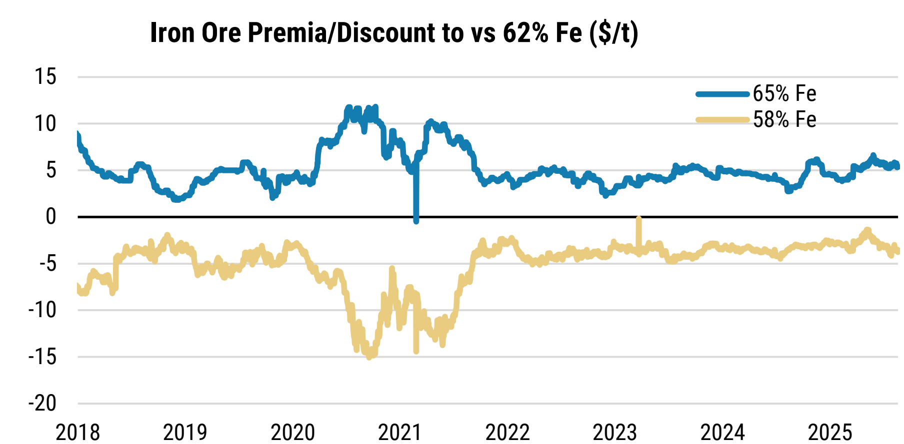
Source: Eikon

Exhibit 114: Freight Rates to China



Source: Bloomberg

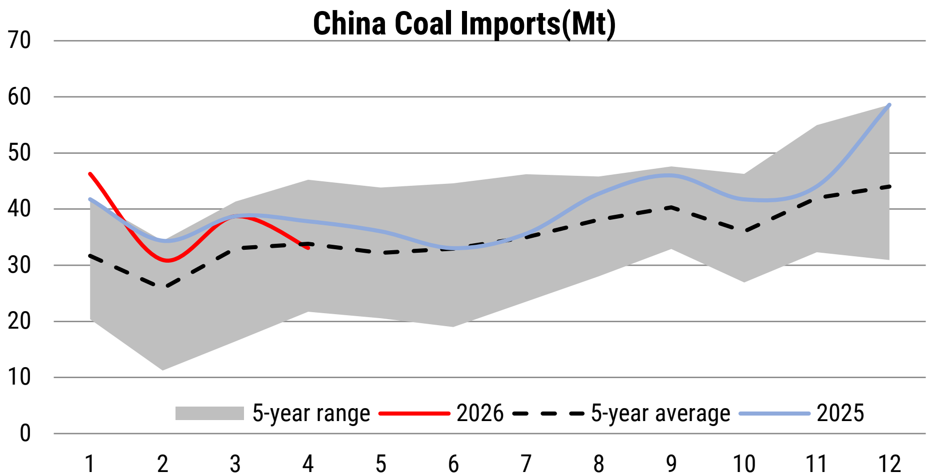
Exhibit 115: Iron Ore Premia/Discount



Source: Platts

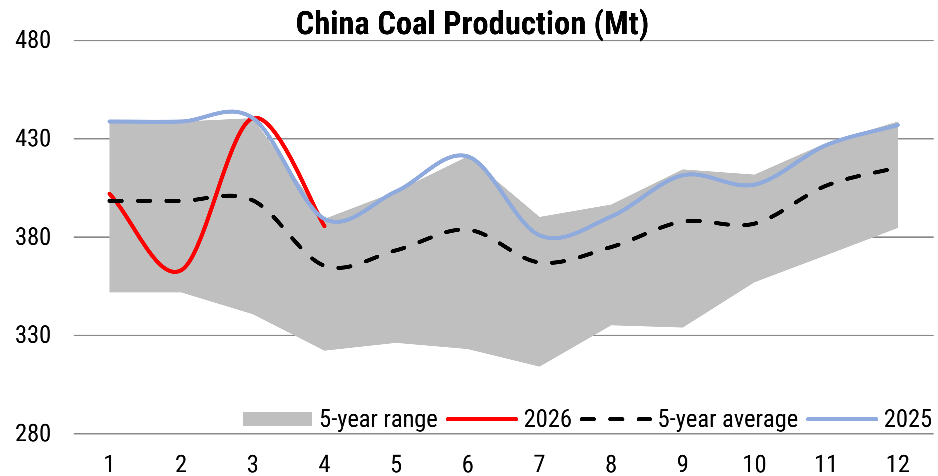
Coal

Exhibit 116: China Coal Imports



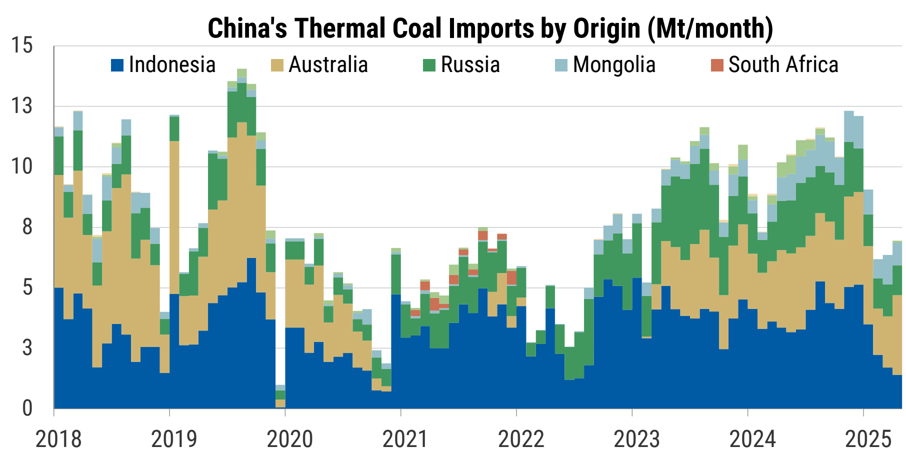
Source: Bloomberg

Exhibit 117: China Coal Production



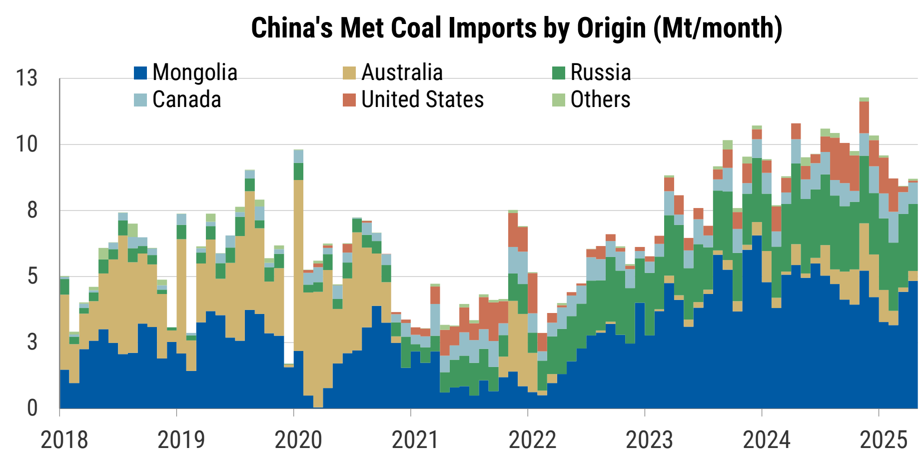
Source: Bloomberg

Exhibit 118: China Thermal Coal Imports



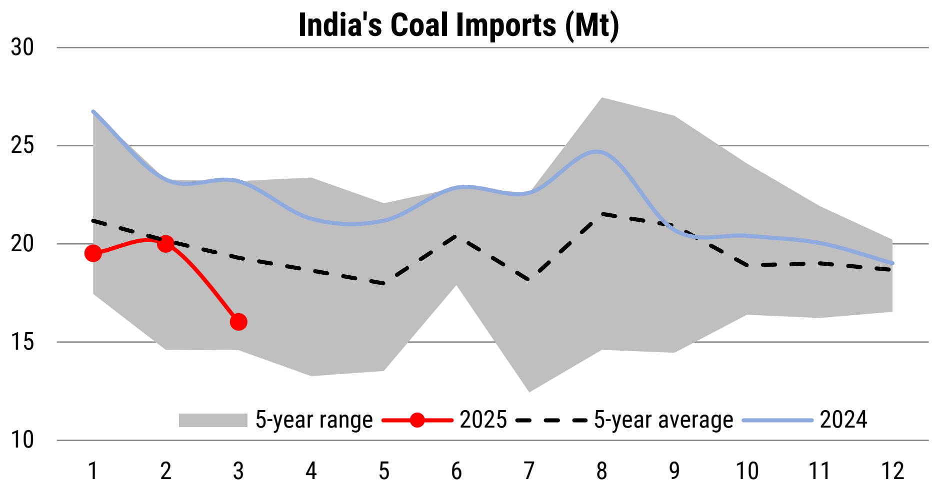
Source: McCloskey

Exhibit 119: China Met Coal Imports



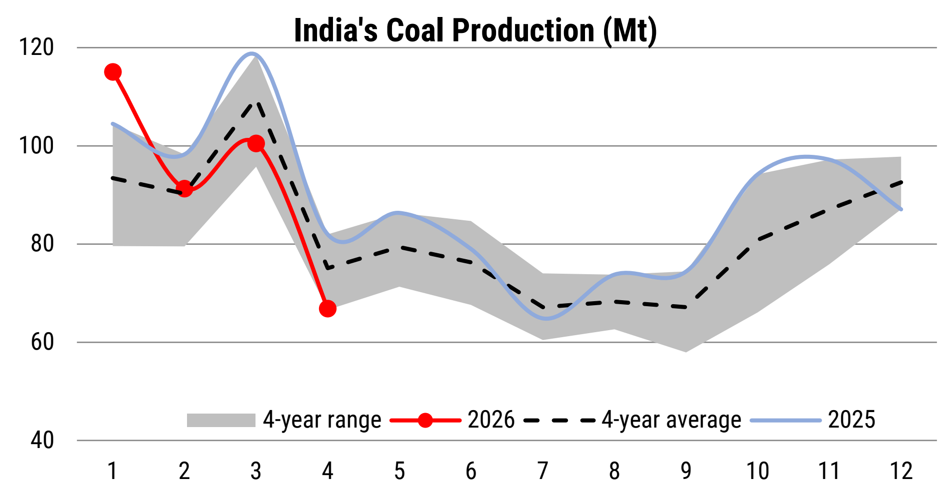
Source: McCloskey

Exhibit 120: India Coal Imports



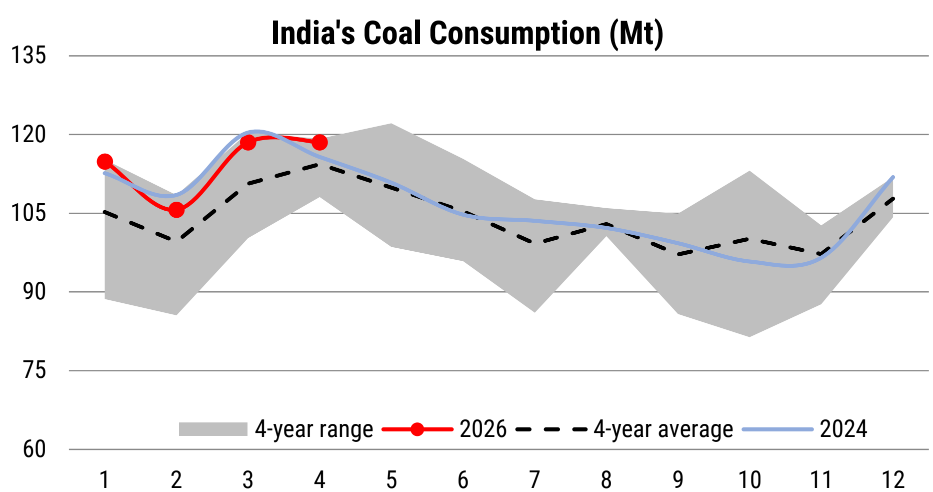
Source: McCloskey

Exhibit 121: India Coal Production



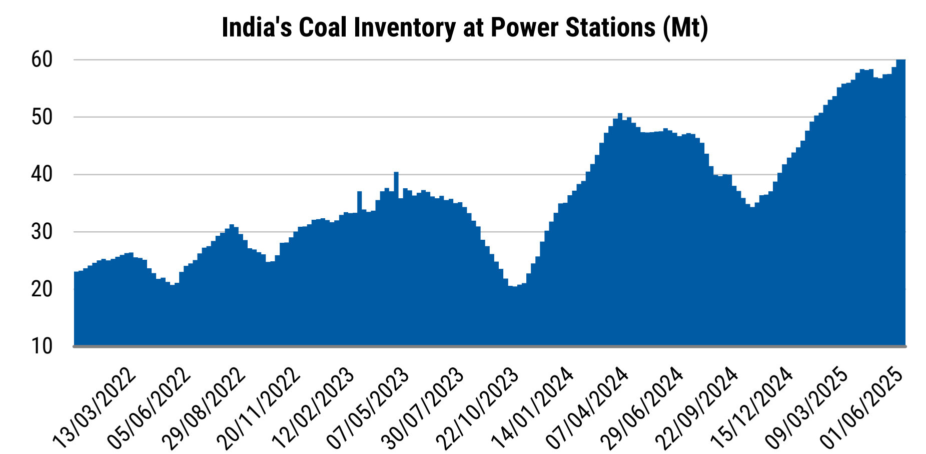
Source: Ministry of Coal, Government of India

Exhibit 122: India Coal Consumption



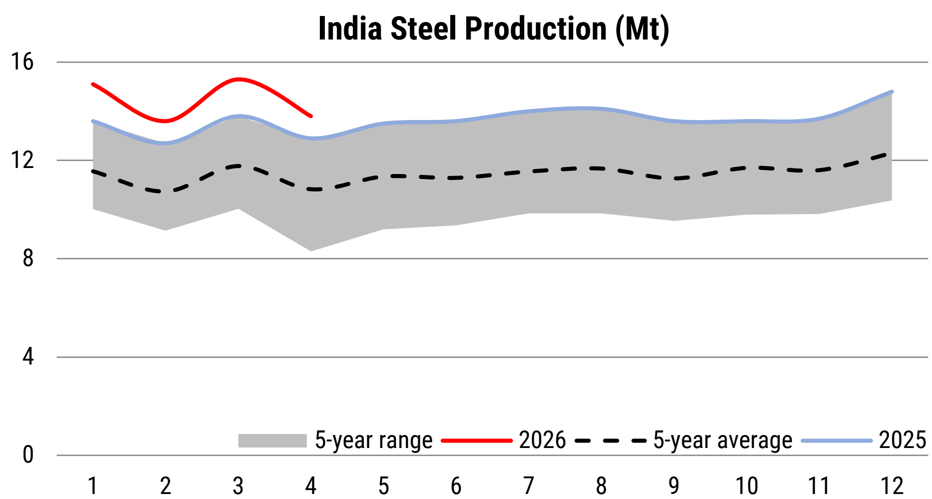
Source: Ministry of Coal, Government of India

Exhibit 123: India Coal Inventory at Power Station



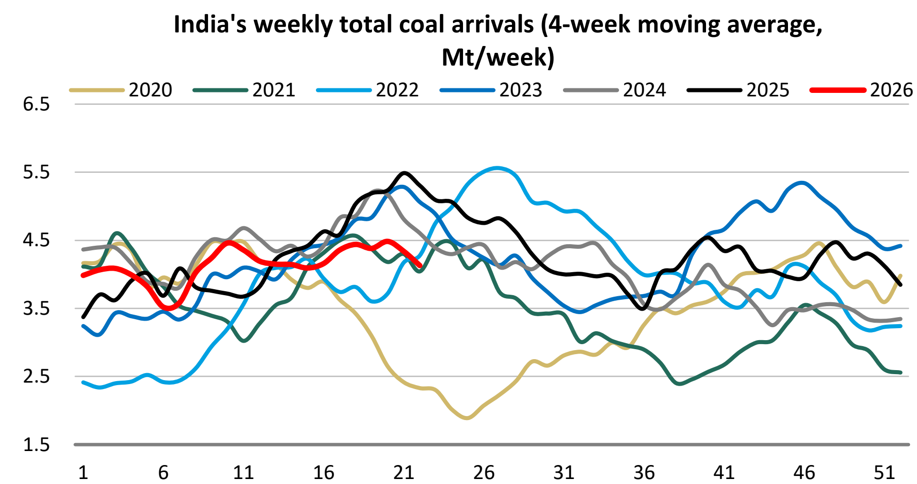
Source: McCloskey

Exhibit 124: India Steel Production



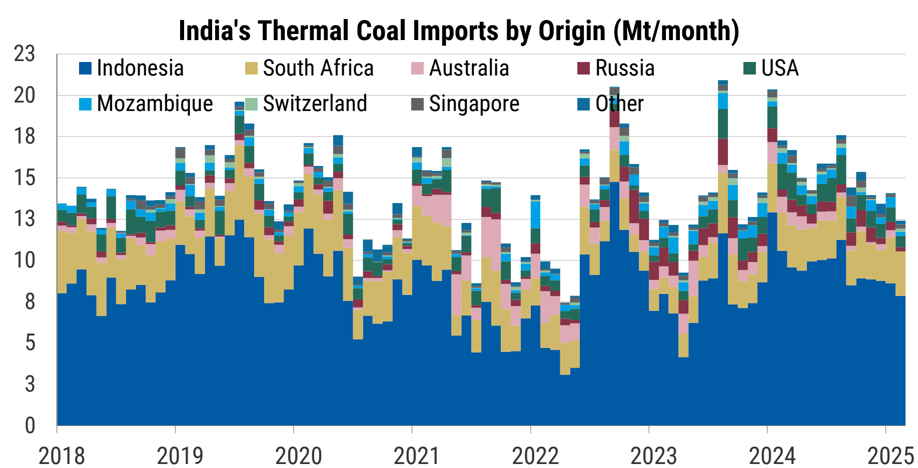
Source: Bloomberg

Exhibit 125: India Coal Arrivals



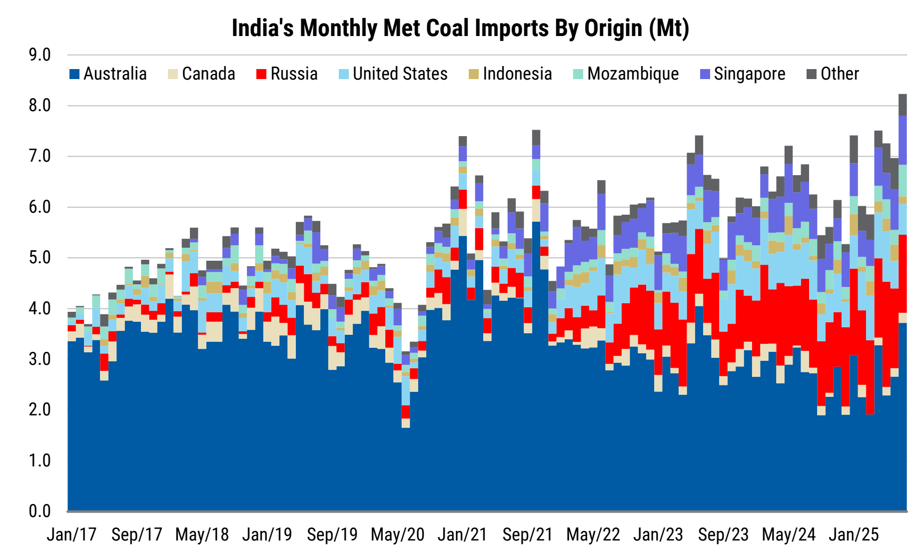
Source: Eikon

Exhibit 126: India Thermal Coal Imports



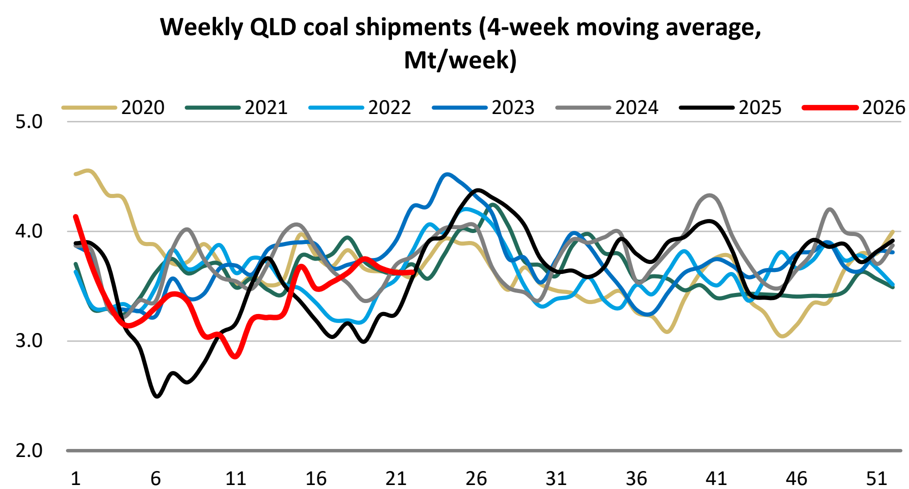
Source: McCloskey

Exhibit 127: India Met-Coal Imports



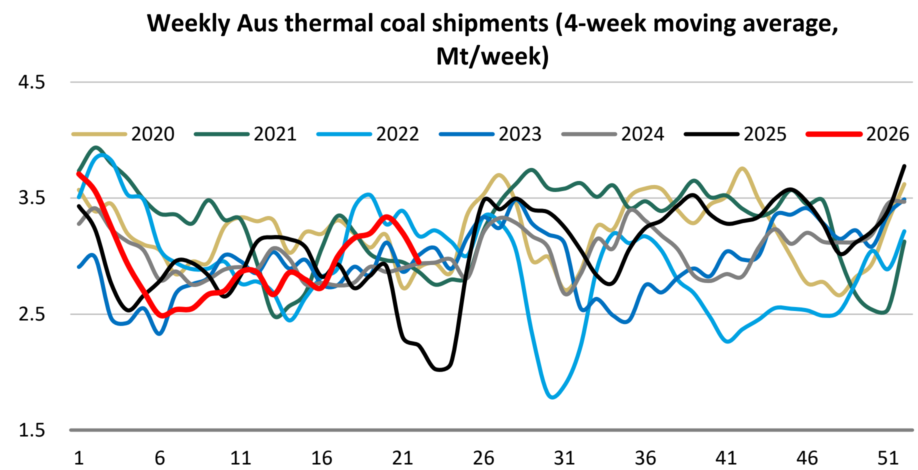
Source: McCloskey

Exhibit 128: Queensland Coal Shipments



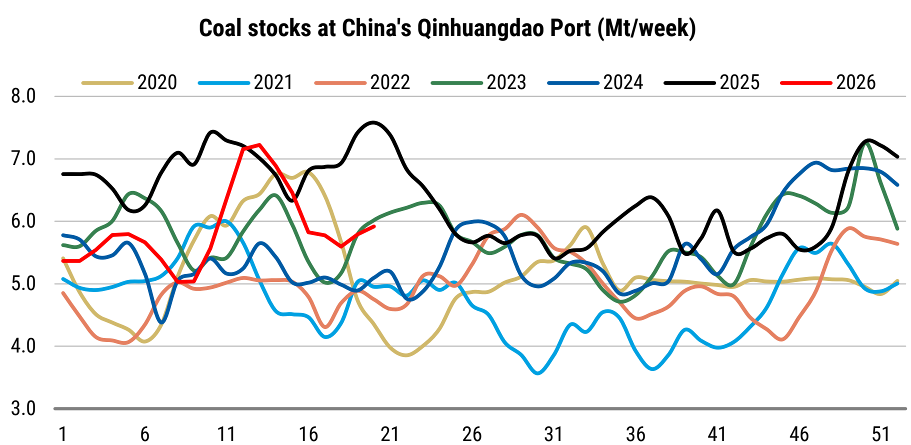
Source: Eikon

Exhibit 129: Australia Thermal Coal Shipments



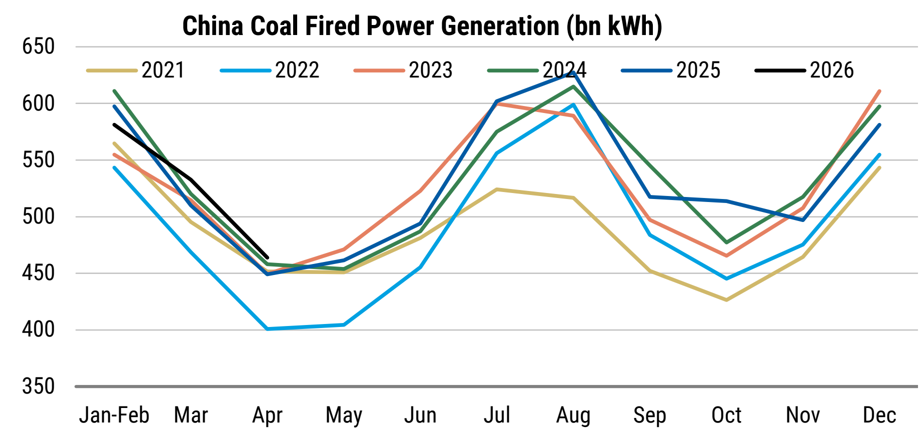
Source: Eikon

Exhibit 130: Coal Stocks at Qinhuangdao Port



Source: Bloomberg

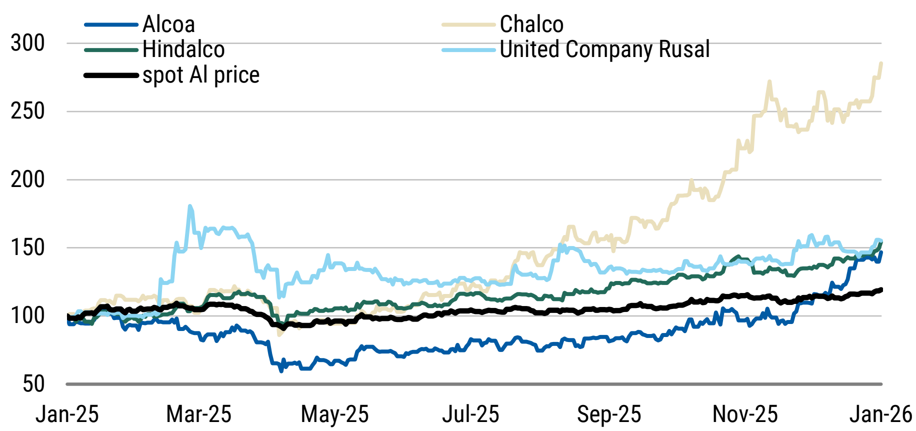
Exhibit 131: China Coal-fired Power Generation



Source: Bloomberg

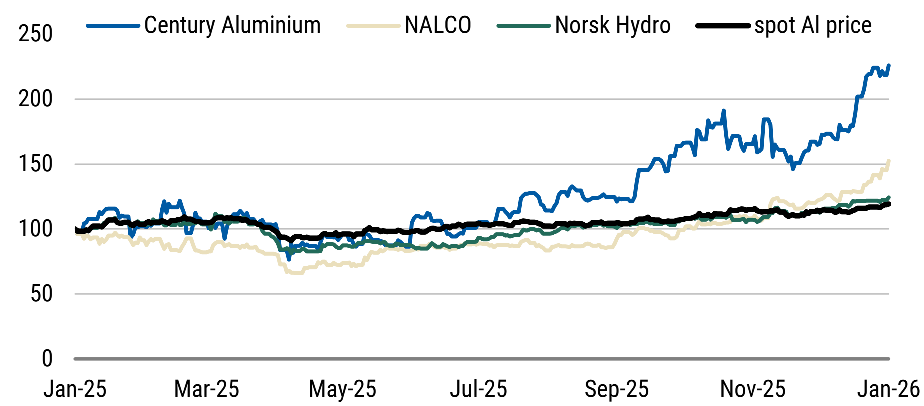
Equity vs. Commodity – Relative One-Year Performance

Exhibit 132: Aluminium (large cap)



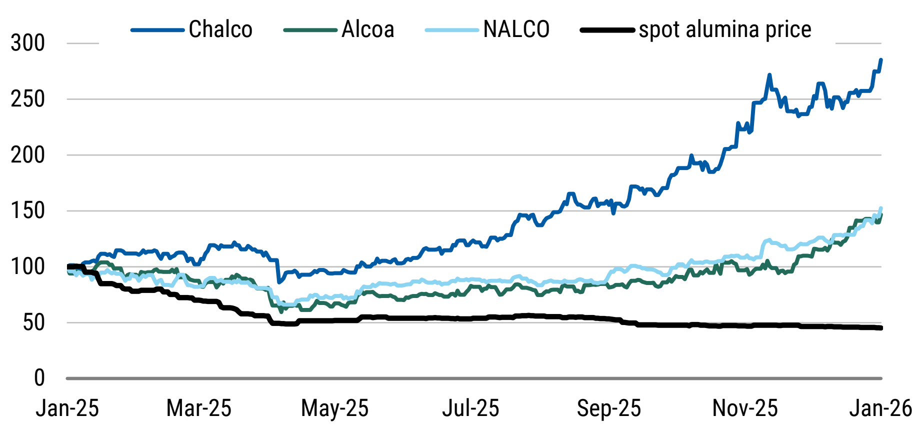
Source: Bloomberg, Morgan Stanley Research

Exhibit133: Aluminium (small-medium cap)



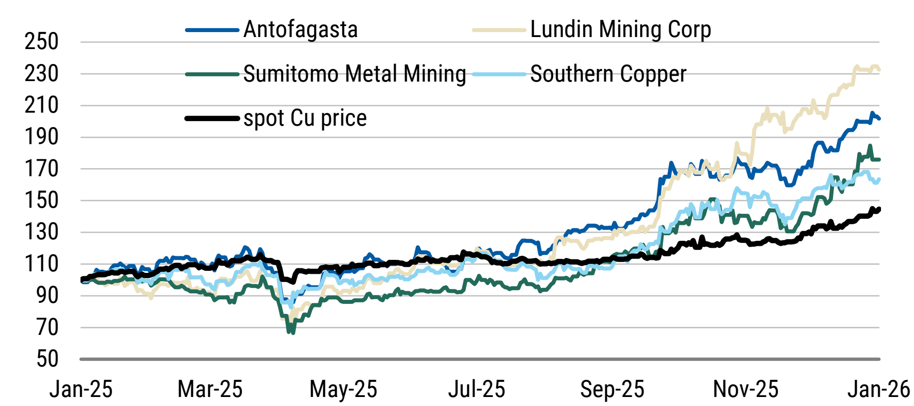
Source: Bloomberg, Morgan Stanley Research

Exhibit134: Alumina



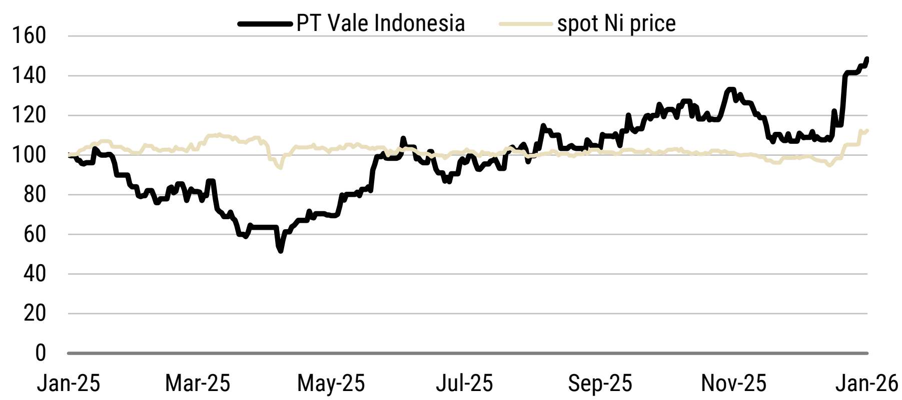
Source: Bloomberg, Morgan Stanley Research

Exhibit 135: Copper



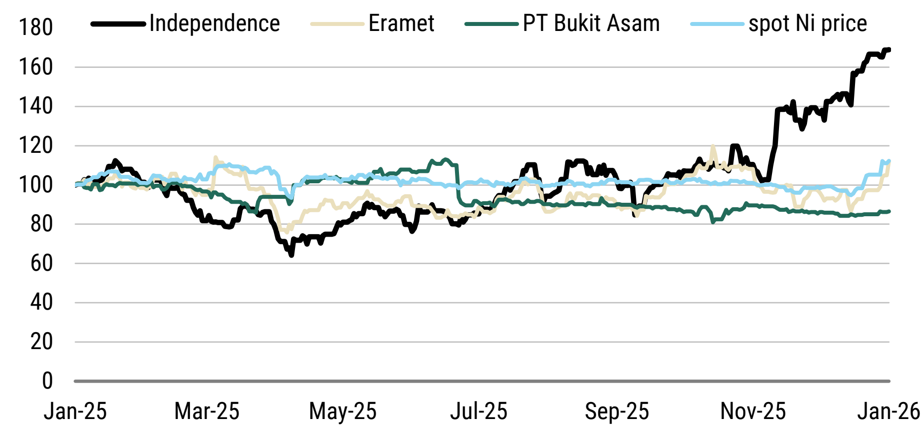
Source: Bloomberg, Morgan Stanley Research

Exhibit136: Nickel (large cap)



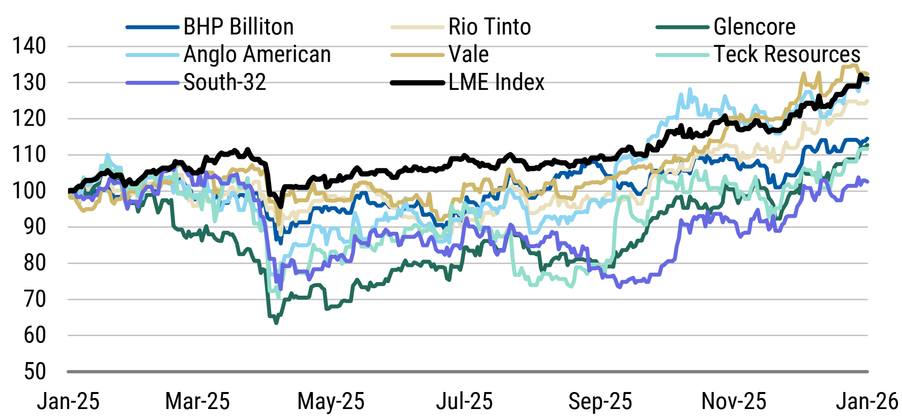
Source: Bloomberg, Morgan Stanley Research

Exhibit 137: Nickel (small-medium cap)



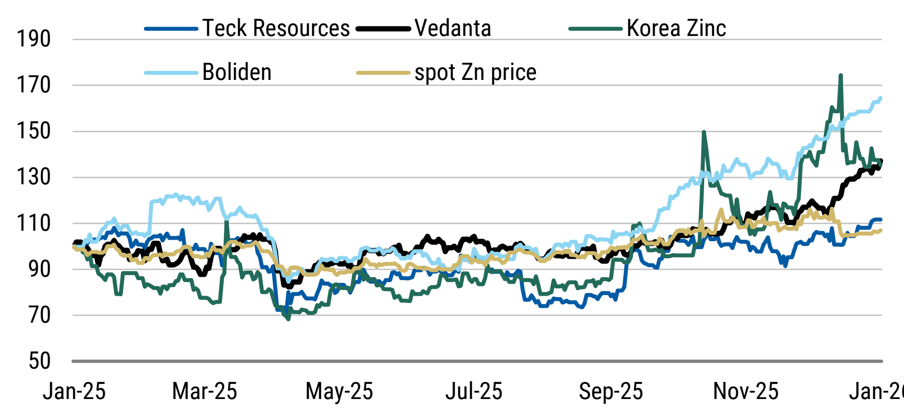
Source: Bloomberg, Morgan Stanley Research

Exhibit138: Diversifieds



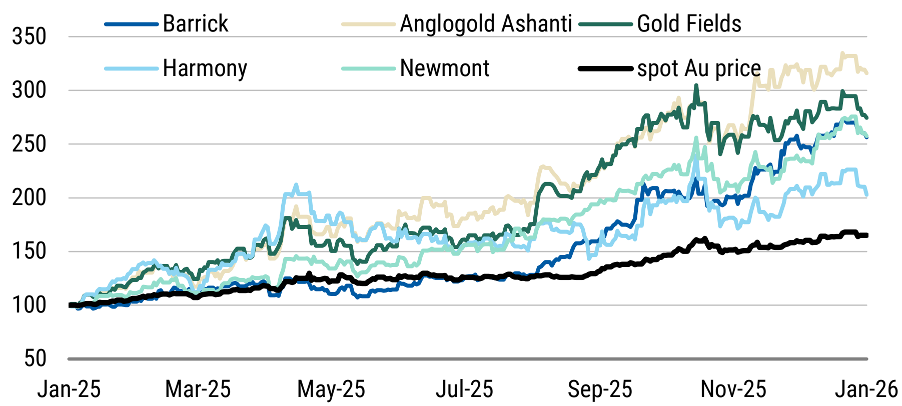
Source: Bloomberg, Morgan Stanley Research

Exhibit 139: Zinc



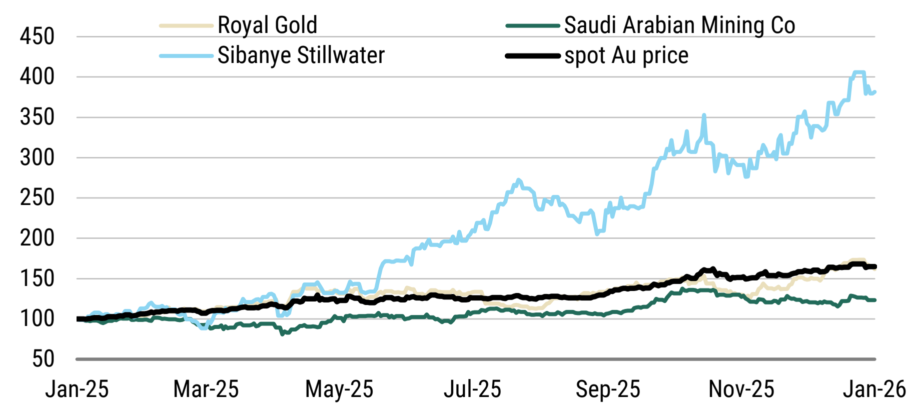
Source: Bloomberg, Morgan Stanley Research

Exhibit140: Gold (large cap)



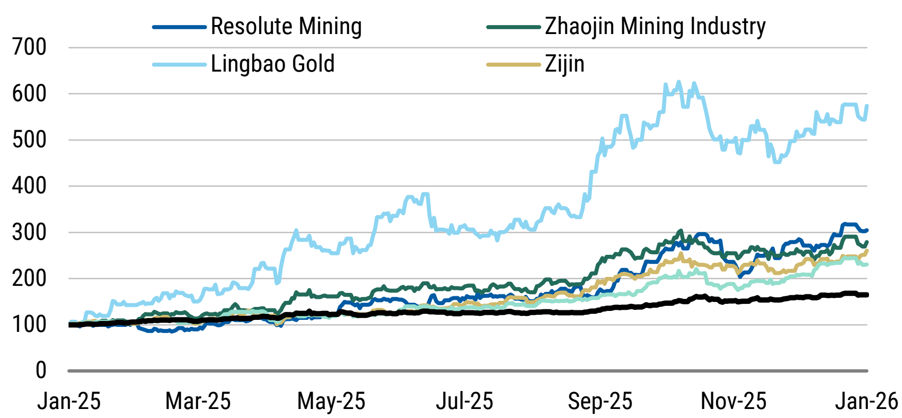
Source: Bloomberg, Morgan Stanley Research

Exhibit141: Gold (small/medium cap)



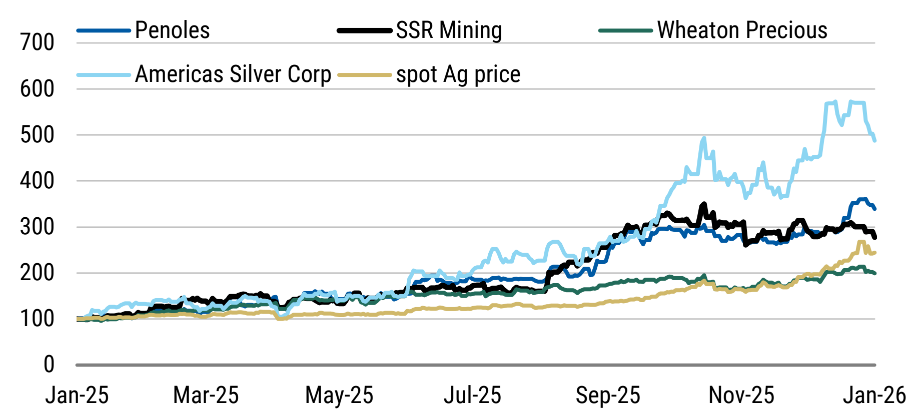
Source: Bloomberg, Morgan Stanley Research

Exhibit142: Gold (small / medium cap)



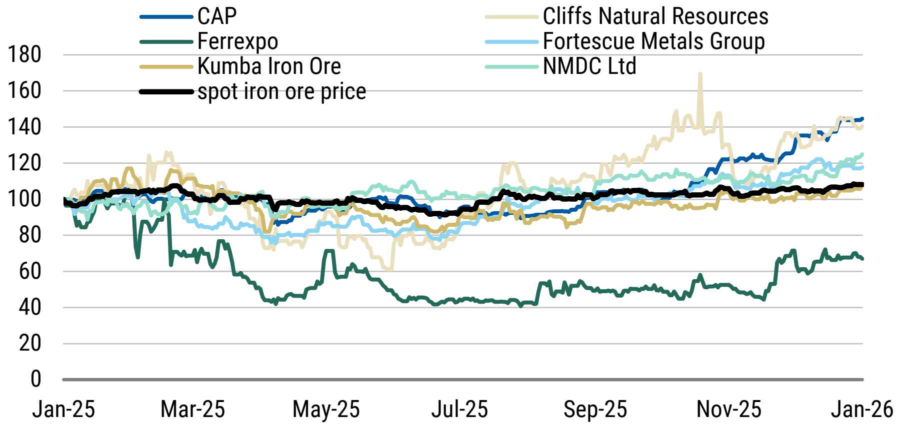
Source: Bloomberg, Morgan Stanley Research

Exhibit143: Silver



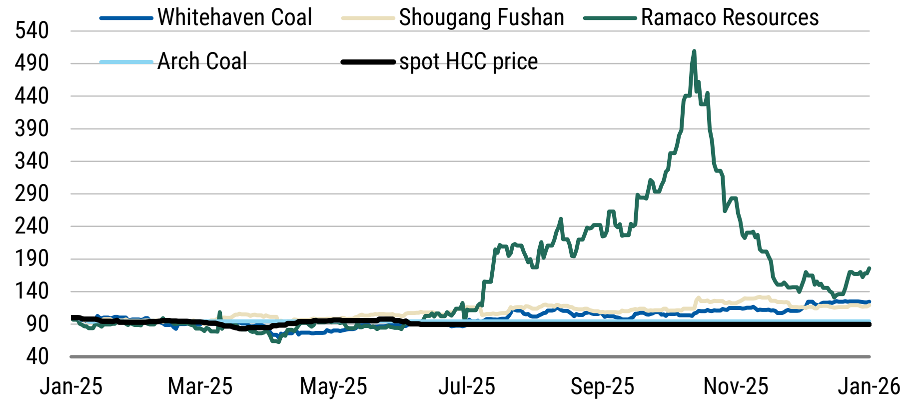
Source: Bloomberg, Morgan Stanley Research

Exhibit144: Iron ore



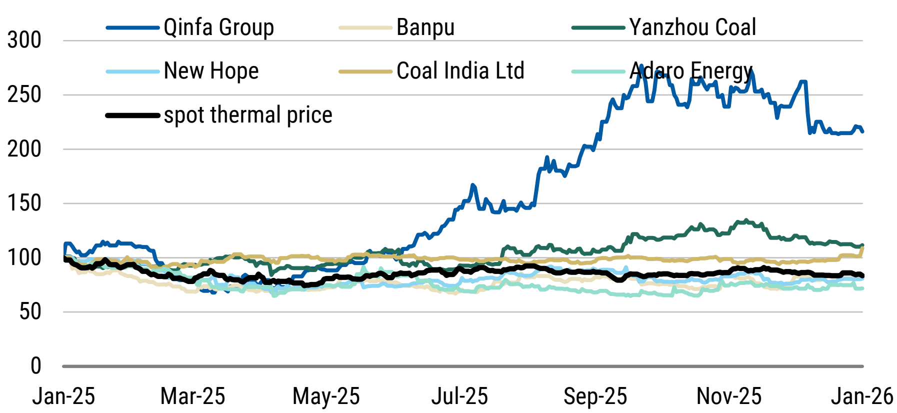
Source: Bloomberg, Morgan Stanley Research

Exhibit145: Metallurgical coal



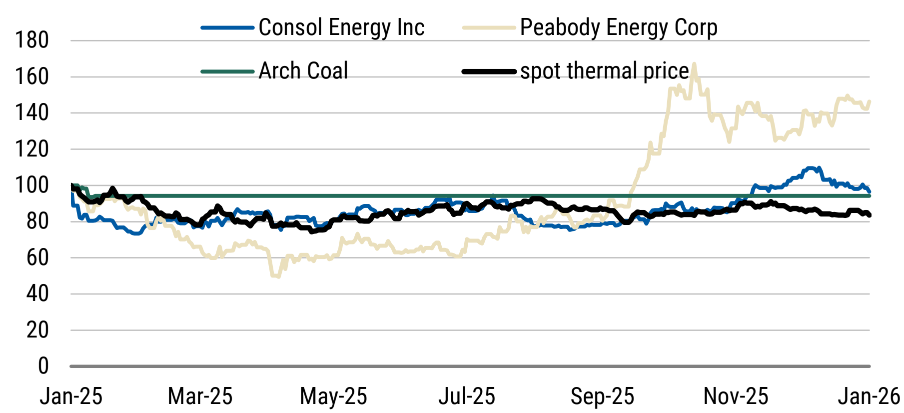
Source: Bloomberg, Morgan Stanley Research

Exhibit146: Thermal coal – Asia



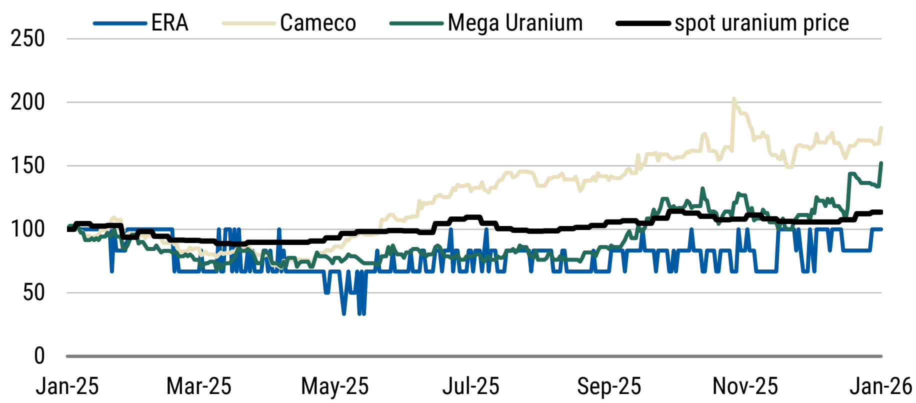
Source: Bloomberg, Morgan Stanley Research

Exhibit 147: Thermal coal – North America



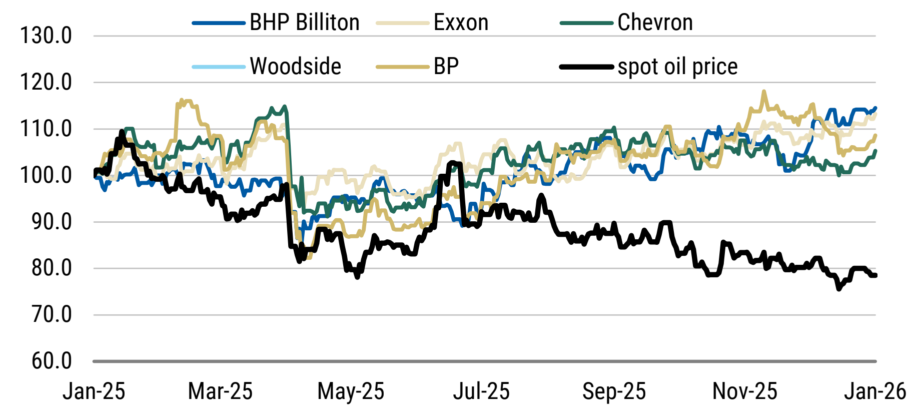
Source: Bloomberg, Morgan Stanley Research

Exhibit148: Uranium



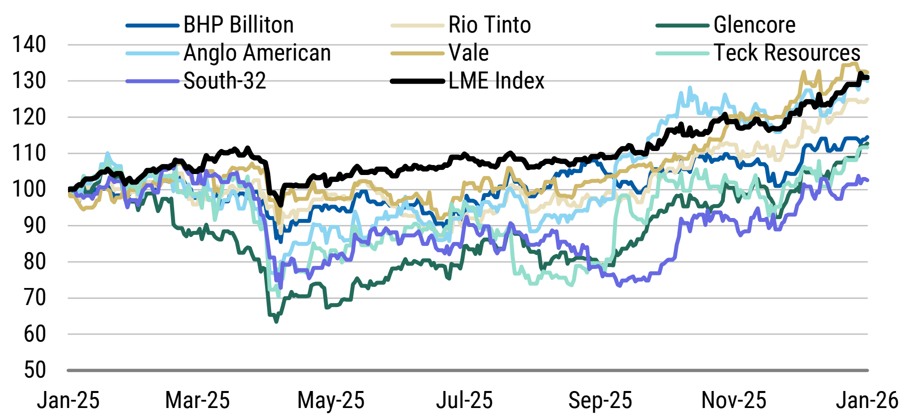
Source: Bloomberg, Morgan Stanley Research

Exhibit149: Oil



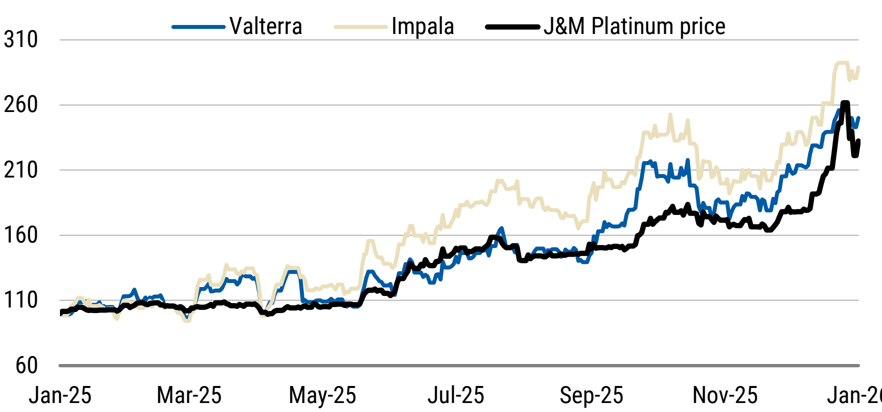
Source: Bloomberg, Morgan Stanley Research

Exhibit150: Diversifieds



Source: Bloomberg, Morgan Stanley Research

Exhibit 151: PGM



Source: Bloomberg

Key Morgan Stanley Forecasts

Exhibit 152: Base metals price forecasts

Period	Aluminium			Copper			Nickel			Zinc			Lead		
	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear
2026e	1.77	**1.54**	1.18	6.40	**5.58**	4.34	8.98	**7.58**	6.74	1.52	**1.37**	1.17	0.98	**0.85**	0.76
2027e	1.78	**1.48**	1.18	6.67	**5.56**	4.56	9.36	**7.48**	5.99	1.59	**1.33**	1.13	1.07	**0.95**	0.86
2028e	1.71	**1.43**	1.17	6.26	**5.22**	4.43	9.73	**7.48**	5.61	1.64	**1.32**	1.12	1.20	**1.00**	0.90
2029e	1.81	**1.45**	1.23	6.78	**5.22**	4.69	10.02	**7.71**	5.40	1.64	**1.32**	1.18	1.22	**1.01**	0.91
2030e	1.81	**1.45**	1.23	7.04	**5.22**	4.69	10.61	**8.16**	5.72	1.70	**1.36**	1.22	1.36	**1.13**	1.02
2031e	1.70	**1.36**	1.16	7.04	**5.22**	4.69	10.61	**8.16**	5.72	1.63	**1.36**	1.16	1.36	**1.13**	1.02
LT nom.	1.50	**1.30**	1.17	6.57	**5.05**	4.30	11.11	**8.54**	5.98	1.61	**1.46**	1.17	1.29	**1.17**	0.94

Source: Morgan Stanley Commodities Research estimates (e)

Exhibit 153: Precious metals price forecasts

Period	Gold			Silver			Platinum			Palladium			Rhodium		
	Bull	Base US$/oz	Bear	Bull	Base US$/oz	Bear	Bull	Base US$/oz	Bear	Bull	Base US$/oz	Bear	Bull	Base US$/oz	Bear
2026e	6,026	**4,916**	4,176	100.21	**73.79**	52.64	2,282	**1,994**	1,706	1,693	**1,483**	1,273	11,718	**10,214**	8,711
2027e	5,940	**4,950**	4,208	99.00	**70.71**	56.57	2,392	**1,993**	1,594	1,860	**1,431**	1,002	18,397	**10,221**	7,154
2028e	5,625	**4,500**	3,825	90.00	**64.29**	51.43	2,656	**2,043**	1,839	1,575	**1,312**	919	31,436	**10,479**	7,335
2029e	5,200	**4,000**	3,400	80.00	**57.14**	45.71	2,723	**2,095**	1,885	1,614	**1,345**	942	24,226	**8,075**	5,653
2030e	5,400	**4,000**	3,400	77.14	**57.14**	48.57	2,792	**2,148**	1,933	1,655	**1,379**	966	24,837	**8,279**	5,795
2031e	5,400	**4,000**	3,400	77.14	**57.14**	48.57	2,863	**2,202**	1,982	1,697	**1,414**	1,131	25,464	**8,488**	5,942
LT nom.	4,738	**2,871**	2,441	68.19	**35.89**	30.51	3,231	**2,228**	1,894	1,723	**1,436**	1,149	25,842	**8,614**	6,030

Source: Morgan Stanley Commodities Research estimates (e)

Exhibit 154: Bulks price forecasts

Period	Iron Ore (spot)			Hard Coking Coal (spot)			Thermal Coal			Manganese ore (44%)			Lithium (fob LatAm)			Uranium (spot)		
	Bull	Base US$/t	Bear	Bull	Base US$/t	Bear	Bull	Base US$/t	Bear	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear	Bull	Base US$/lb	Bear
2026e	115	**100**	89	266	**231**	197	193	**151**	115	6.3	**5.4**	4.8	25,554	**21,279**	16,149	111	**93**	72
2027e	125	**96**	77	294	**226**	181	179	**138**	110	6.6	**5.5**	4.4	28,880	**18,050**	10,830	131	**94**	66
2028e	132	**98**	73	289	**214**	160	163	**125**	100	6.7	**5.6**	4.5	30,400	**15,200**	9,120	105	**70**	53
2029e	135	**100**	75	290	**215**	161	169	**130**	98	6.9	**5.7**	4.6	28,000	**14,000**	9,800	105	**70**	56
2030e	135	**100**	75	290	**215**	161	176	**135**	101	7.0	**5.8**	4.7	30,000	**15,000**	10,500	105	**70**	56
2031e	135	**100**	75	290	**215**	161	176	**135**	101	7.0	**5.8**	4.7	32,000	**16,000**	11,200	105	**70**	56
LT nom.	150	**103**	78	296	**219**	165	179	**138**	103	6.6	**5.5**	4.4	33,996	**16,998**	10,199	105	**70**	56

Source: Morgan Stanley Commodities Research estimates (e)

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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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